The Board Of Trustees Of The Port Of ... vs Afcons Infrastructure Limited on 23 December, 2016

Author: R.D. Dhanuka

Bench: R.D. Dhanuka

IN THE HIGH COURT OF JUDICATURE AT BOMBAY
ORDINARY ORIGINAL CIVIL JURISDICTION

ARBITRATION PETITION NO.868 OF 2012

The Board of Trustees Of The)
Port of Mumbai,)

a body corporate, constituted under)
the provisions of Major Port Trusts Act,)
1963, having its Registered Office at)

Port House, Shoorji Vallabhdas Marg,)

Ballard Estate, Mumbai - 400 038.) .. Petitioner

Versus

M/s.Afcons Infrastructure Limited)
having its Registered Office at AFCONS)

House, 16, Shah Industrial Estate,)

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Veera Desai Road, Azad Nagar P.O.           )
Mumbai - 400 053.                           )    ..       Respondent
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Mr.S.G. Aney, Senior Counsel with Mr.Umesh Shetty, Ms.D. Kale,
Mr.F.N. Pavri, Ms.P.R. Patel and Ms.S.S. Sahay i/b Mulla & Mulla & C.
B. & C. for the Petitioner.

Mr.D.J. Khambatta, Senior Counsel with Mr.Cherag Balsara, Mr.Hirak
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Mukhopadhayay, Mr.Phiroze Mehta, Mr.Arjun Srivastava and Mr.Akshay
Doctor i/b Desai & Diwanji for the Respondent.
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                          CORAM          : R.D. DHANUKA, J.
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RESERVED ON : 27th September 2016 PRONOUNCED ON : 23rd December 2016 2 arbp-868.16(j).doc Judgment :-

. By this petition filed under section 34 of the Arbitration & Conciliation Act, 1996 (for short "Arbitration Act") the petitioner has impugned the arbitral award dated 26 th November, 2011 and a clarificatory award dated 22nd February, 2012 passed by the learned arbitrator allowing some of the claims made by the respondent and dismissing the counter claims made by the petitioner. Some of the relevant facts for the purpose of deciding this arbitration petition are as under :-

2. The petitioner herein was the original respondent, whereas the respondent herein was the original claimant in the arbitral proceedings.

3. On or about 26th June, 1998, the petitioner issued a public invitation for pre-qualification of bids for the award of contract for the proposed work of modernization of the existing Marine Oil Terminal and berths / jetties J1, J2 and J3 at their multi-user and multi-cargo Marine Oil Terminal at Jawahar Dweep based in the Mumbai Harbour. The petitioner also arranged for pre-bid meetings and visits to the site of work which were attended by the respondent along with other prospective bidders. The petitioner had also sent replies to various queries asked by the bidder's numbering 117 to all the bidders together with addendum No.1.

4. On 17th January, 2000, the respondent submitted its bid comprising of technical and price bid to the petitioner aggregating to

3 arbp-868.16(j).doc Rs.144,44,25,199/-. On 19th September, 2000, the petitioner issued its initial letter conveying acceptance of the bid submitted by the respondent. On 28th September, 2000, the petitioner issued a detailed Letter of Acceptance to the respondent. It is the case of the petitioner that in the said Letter of Acceptance issued by the petitioner, it was made clear that the bid price of the respondent would be inclusive of Customs and Excise Duties.

5. On 6th October, 2000, the parties entered into a full - fledged agreement in respect of the work covered under the said contract. The said agreement provided priorities of contract documents in a particular sequence. It is the case of the petitioner that the Invitation for Pre-

qualification bids did not form part of the contract.

6. On 16th October, 2000, the petitioner issued a letter instructing the respondent to commence the work. The period of completion of work was stipulated as 32 months from the date of commencement, including the period of monsoon. The stipulated date of completion was thus 15th June, 2003.

7. It is the case of the petitioner that due to gross delay on the part of the respondent, the respondent applied for extension of time for delay upto 31st March, 2003, for delays during 1st April, 2003 to 10th December, 2003 and for delays during 11th December, 2003 to 10th June, 2004. The Engineer granted total extension of 177 days to the respondent. It is the case of the petitioner that the date of completion of the work thus stood extended to 9th December, 2003, the respondent 4 arbp-868.16(j).doc however completed the work under the contract on 28 th December, 2004.

It is the case of the petitioner that in view of inordinate delays in execution of the work by the respondent, the petitioner deducted a sum of Rs.4,31,74,152/- as per the contract conditions by way of liquidated damages out of the moneys payable by the petitioner to the respondent under the concerned interim bills raised by the respondent.

8. On 29th March, 2004, the respondent filed Arbitration Petition (288 of 2004) under section 9 of the Arbitration Act in this Court in respect of the deduction of the liquidated damages made by the petitioner from the interim bills raised by the respondent. By an order dated 30th June, 2004, this Court directed the petitioner to deposit the said sum of Rs.1,41,82,944/- in this Court and directed to take steps for constitution of the arbitral tribunal to decide the dispute. This Court disposed of the said arbitration petition. On 19th July, 2004, this Court passed an order clarifying the said order dated 30 th June, 2004. The petitioner preferred an Appeal (487 of 2004) and impugned the said order dated 30th June, 2004 passed by this Court before the Division Bench of this Court. The petitioner filed a Notice of Motion (2251 of 2004) in the said Appeal No.487 of 2004 for interim reliefs. By an order dated 9 th August, 2004, the Division Bench of this Court directed that the order of the learned single Judge shall not be stayed since the withdrawal of the amount by the respondent contractor was made conditional by the learned single Judge on furnishing the bank guarantee. The

Division Bench granted extension of three days to the petitioner to deposit the said amount. The petitioner filed Special Leave Petition (16816 of 2004) before the Supreme Court of India and impugned the order dated 9 th August, 2004 passed by the Division Bench of this Court.

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9. On 20th October, 2004, the respondent addressed a letter to the petitioner for referring the disputes to arbitration. It is the case of the petitioner that by the said letter the respondent requested for the reference of not only the existing disputes but also future disputes to arbitration.

10. By its letter dated 11th November, 2004 to the respondent, the petitioner made it clear that the petitioner had proposed to appoint an arbitrator only in respect of the pending disputes / claims and the proposal of the respondent to refer the future disputes, if any, to the sole arbitrator was not accepted since they could be decided at appropriate time in terms of the contract.

11. On 6th December, 2004, the Supreme Court appointed a former Chief Justice of India as a sole arbitrator and disposed of the said special leave petition filed by the petitioner. It is the case of the petitioner that by the said order dated 6th December, 2004, the Supreme Court appointed the learned arbitrator to adjudicate upon the pending disputes between the petitioner and the respondent as mentioned in the letter dated 11th November, 2004, which was addressed by the petitioner to the respondent.

12. On 24th December, 2004, the learned arbitrator appointed by the Supreme Court, commenced the arbitral proceedings and issued various directions to the parties to file the pleadings and documents. On 11th February, 2005, the respondent filed its Statement of Claims inter- alia praying for extension of time and also claiming (i) a sum of Rs.52,73,92,129/- by way of damages for the alleged extended period of 6 arbp-868.16(j).doc work, (ii) a sum of Rs.7,85,66,365.01 by way of loss of Deemed Export Benefits, (iii) a sum of Rs.2,83,65,888/- by way of refund of liquidated damages recovered by the petitioner and (iv) a sum of Rs.10,546,905/-

deducted by the petitioner for Interim Bill no.22 together with interest at the rate of 18% p.a.

13. On 31st March, 2005, the petitioner filed its written statement and counter claim and denied the claims made by the respondent. The petitioner in its counter claim prayed for withdrawal of a sum of Rs.2,83,65,888/- being the proceeds of liquidated damages which have been lying with the learned Prothonotary & Senior Master of this Court and also prayed for a sum of Rs.40,99,93,029/- against the loss alleged to have been caused to the petitioner on account of the delays in execution of work on the part of the respondent. The respondent filed its rejoinder on 13th April, 2005. Both the parties also filed their respective documents.

14. The respondent led oral evidence before the learned arbitrator through its witness Sanath Kumar and tendered the documents through the said witness and also another witness. The said Sanath Kumar however, did not make himself fully available for cross- examination. The cross-examination of the said witness thus remained incomplete. The petitioner also examined its witness.

15. On 24th April, 2006, the learned arbitrator passed an order and held that "if the witness had decided not to come and give an opportunity to the other side to cross-examine and continue his cross- examination, the evidence given by him upto that stage would have no 7 arbp-868.16(j).doc value and could not be relied upon by the party which had called him as a witness, except that any admissions made by the witness would be relied upon by the other side." The learned arbitrator rejected the application filed by the petitioner for issuance of witness summon upon the said Sanath Kumar.

16. Some time in the year 2006, the petitioner filed Arbitration Petition (207 of 2006) under section 27 of the Arbitration Act challenging the order passed by the learned arbitrator, rejecting the application of the petitioner for summoning the witness of the respondent Sanath Kumar.

17. By an order dated 20th September, 2006, this Court dismissed the said Arbitration Petition No.207 of 2006, filed by the petitioner under section 27 of the Arbitration Act.

18. The respondent had also examined two other witnesses viz. Mr.P.G. Mandre and Mr.Sanjeev Agarwal, who were extensively cross- examined by the petitioner through its counsel. Both the parties also field their written submissions before the learned arbitrator. The arguments of both the parties were concluded on 12th October, 2010.

19. On 26th November, 2011, the learned arbitrator made an award awarding a sum of Rs.52,73,91,129/- in respect of issue no.7, Rs.4,31,74,141/- in respect of issue nos.9 and 10 and Rs.7,85,66,365/- in respect of issue no.13 making up in the aggregate a sum of Rs.64,91,31,635/- together with interest at the rate of 12% p.a. from the 8 arbp-868.16(j).doc date of notice invoking arbitration agreement until the date of payment.

The learned arbitrator dismissed the counter claim filed by the petitioner.

20. On 22nd February, 2012, the learned arbitrator passed a clarificatory award pursuant to the joint letter dated 14th February, 2012 moved by the parties thereby correcting the mistakes in the impugned award dated 26th November, 2011. The petitioner therefore filed this arbitration petition under section 34 of the Arbitration Act impugning the arbitral award dated 26th November, 2011 and a clarificatory award dated 22nd February, 2012 on various grounds.

21. Learned senior counsel appearing for both the parties filed their notes of arguments on various issues and claims and also made extensive arguments on each of the claim awarded by the learned arbitrator and also made few submissions on the counter claims rejected by the learned arbitrator.

22. Mr.Aney, learned senior counsel for the petitioner at the thresh-hold made his submissions on the issue of jurisdiction in respect of some of the claims made by the respondent before the learned arbitrator which objections were raised under section 16 of the Arbitration Act and were rejected by the learned arbitrator. Learned senior counsel for the parties have addressed this Court on the issue of jurisdiction at length. Before I discuss the merits of the claim awarded or rejected by the learned arbitrator, I shall first deal with the issue of jurisdiction raised by the petitioner in respect of some of

the claims made by the respondent.

9 arbp-868.16(j).doc Whether the learned arbitrator had jurisdiction to entertain and adjudicate upon any of the claims made by the respondent ?

23. In support of his submission that some of the claims made by the respondent were beyond the scope of reference made to the learned arbitrator and were without jurisdiction, Mr.Aney, learned senior counsel for the petitioner invited my attention to some of the correspondence exchanged between the parties which are referred to hereinafter.

> (a) On 30th April, 2003, the respondent made an application for first extension of time for 472 days i.e. from 16 th October, 2000 to 31st March, 2003. On 17th December, 2003, the Engineer recorded his decision and partially allowed the first extension of time to an extent of 90 days.
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> (b) On 21st January, 2004, the respondent made an application for second extension of time for 242 days i.e. from 1 st April, 2003 to 10th December, 2003. On 12th April, 2004, the Engineer recorded his decision and partially allowed an extension of time to the respondent to the extent of 71 days. On 21st April, 2004, the respondent informed the petitioner that as the respondent was not satisfied with the decision of the Engineer, they notified their intention to commence the arbitration. On 29 th April, 2004, the respondent addressed a similar letter to the petitioner that they were not satisfied with the decision of the Engineer and notified their intention to commence the arbitration.
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> (c) On 28th June, 2004, the respondent addressed a letter to the Engineer and desired a further extension of time for a period of 11 10 arbp-868.16(j).doc days in reference to 4 Piles and agreed to submit the details in respect thereof in due course.

(d) On 2nd August, 2004, the respondent made an application for the extension of time for 100 days i.e. from 11th December, 2003 to 10th June, 2004.

(e) On 20th October, 2004, the respondent addressed a letter to the petitioner notifying their intention to commence the arbitration in accordance with clause 67.1 of the contract. By their letter dated 20th October, 2004, the respondent referred to their letters dated 21 st April, 2004 and 29th April, 2004 addressed earlier by which the respondent had notified their intention to commence the arbitration in accordance with clause 67.1 of the contract. The respondent proposed the name of a former Judge of the Supreme Court of India for concurrence of the petitioner as the sole arbitrator. It was however mentioned in the said letter that the respondent had proposed that future disputes, if any, regarding extension of delay / compensation thereof and also the matters connected with Deemed Export Benefits made may also be referred to the sole arbitrator and sought the concurrence of the petitioner.

(f) The petitioner vide their letter dated 11 th November, 2004 proposed to appoint a retired Chief Justice of India as the sole arbitrator in respect of the pending disputes/claims and requested the respondent to convey their concurrence to the same. In the said letter, the petitioner made it clear that insofar as the proposal of the respondent to refer the future disputes, if any, to the sole arbitrator is concerned, the same was not accepted on the ground that they could be decided at appropriate time in terms of the contract.

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(g) On 6th December, 2004, the parties filed the consent terms before the Supreme Court in the said special leave petition filed by the petitioner. Clauses 1 and 2(e) of the said consent terms which are relevant are extracted as under :-

> "1. The Respondent (AFCONS) agrees to the proposal of the petitioner's (Mumbai Port Trust) letter dated 11.11.2004 that Hon'ble Mr.Justice P.N. Bhagwati (retired) be appointed a Sole Arbitrator in respect of all pending disputes / differences and claims and accordingly the said pending disputes / differences will stand referred to the said Sole Arbitrator.
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> 2(e). All proceedings before the Sole Arbitrator shall be decided in accordance with law and without being influenced by observations recorded in the Orders of the Bombay High Court."

24. Mr.Aney, learned senior counsel for the petitioner invited my attention to clauses 67.1 to 67.4 of the General Conditions of Contract which provides for procedure for referring the disputes to arbitration and for the appointment of an arbitrator. It is submitted by the learned senior counsel that before issuing any notice invoking arbitration agreement under clauses 67.1 read with 67.3 is issued by a party for appointment of an arbitrator, all such disputes in connection with or arising out of the contract or execution of the works, whether during execution of works or after their completion and whether before or after repudiation or other terms and conditions of the contract etc. has to be first place in writing to the Engineer. The Engineer is under obligation to convey his decision to the employer and the contractor. He submits that only if the employer or the contractor is dis-satisfied with the decision of such Engineer or if the Engineer fails to give notice of his decision on or before eighty-fourth' day after the date on which he received reference, then either the 12 arbp-868.16(j).doc employer or the contractor may on or before the prescribed time therein has to give notice to other party with a copy for information of the Engineer, of his intention to commence arbitration as to the matter in dispute.

25. It is submitted that unless the disputes arises between the parties and such disputes are referred to the Engineer and if any adverse decision is taken by the Engineer or no such decision is taken within the time prescribed, only such existing dispute can be referred to arbitration and not any other dispute. He submits that compliance of procedure under clause 67.1 is mandatory and cannot be waived.

26. It is submitted by the learned senior counsel that the learned arbitrator thus can entertain and adjudicate upon only those claims which were first referred to the Engineer and when decision is either rendered by the Engineer within the time prescribed or no decision is taken within the time prescribed by the Engineer. It is submitted that insofar as claim no.7 is concerned, the said claim was arising out of the alleged bill which was raised for the first time by the respondent in the statement of claim filed before the learned arbitrator. A part of the said claim was made by the respondent after commencement of the arbitral proceedings. It is submitted that the claim no.4 was arising out of the alleged delay after 10th June, 2004 which was not referred to the Engineer under clause 67.1 of the General Conditions of Contract and thus was beyond the scope of reference and was not arbitrable.

27. Learned senior counsel led emphasis on the proposal of the respondent made in the letter dated 20th October, 2004 that future 13 arbp-868.16(j).doc disputes, if any, regarding extension of time/compensation thereof and also the matters connected with the Deemed Export Benefits be also referred to the learned arbitrator, for which the respondent had sought concurrence of the petitioner. He submits that the petitioner vide its letter dated 11th November, 2004, in response to the said letter dated 25 th October, 2004 had categorically refused to accept the said proposal of the respondent to refer the future disputes, if any, to the sole arbitrator. The petitioner had made clear in the said letter that the petitioner had proposed to appoint a retired Chief Justice of India as a sole arbitrator in respect of the pending disputes/claims and had called upon the respondent to convey its concurrence to the same. He submits that the question of referring of any future disputes to arbitration pursuant to the notice dated 25th October, 2004 read with reply dated 11 th November, 2004 did not arise.

28. Insofar as the order passed by the Supreme Court in terms of the consent terms on 6th December, 2004 in the special leave petition filed by the petitioner is concerned, it is submitted by the learned senior counsel that it was provided in the consent terms that the respondent had agreed to the proposal of the petitioner made in the letter dated 11 th November, 2004 that a retired Chief Justice of the Supreme Court of India be appointed as a sole arbitrator in respect of the pending disputes / differences and claims and accordingly the said pending disputes / reference will stand referred to the said sole arbitrator. He submits that in the said consent terms, it was also agreed between the parties that all the proceedings before the sole arbitrator shall be decided in accordance with law.

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29. It is submitted that in the said consent terms, it was further agreed that the respondent will be entitled to apply to the learned arbitrator for the payment of Rs.2.83 crores lying deposited in this Court to the respondent and that the petitioner herein would be entitled to oppose such an application of the respondent. He submits that the Supreme Court has also referred the disputes to arbitration in accordance with the said consent terms, which were pending disputes/differences and claims in terms of the letter dated 11 th November, 2004 addressed by the petitioner to the respondent. He submits that the Supreme Court by the said order dated 6th December, 2004 has not expanded the scope of reference. He submits that the parties had not given a go bye to the

mandatory procedure under clauses 67.1 to 67.3 of the General Conditions of Contract and have not expanded the scope of reference. Learned senior counsel for the petitioner placed reliance on the judgment of this Court in case of Patel Engineering Co. Limited vs. B.T. Patil & Sons Belgaum (Construction) Private Limited, reported in 2016(3) Arb.L.R. 162 and in particular paragraphs 121 to 124, 128 to 134 and

142.

30. Mr.Aney, learned senior counsel for the petitioner invited my attention to the grounds raised in the petition on the issue of jurisdiction in respect of claim nos.4 and 7 and also to ground nos.31 to 39 of the petition and to the findings of the learned arbitrator and also paragraphs 15 to 19 of the impugned award on the issue of jurisdiction.

31. Mr.Khambatta, learned senior counsel for the respondent, on the other hand, submits that the jurisdiction of the learned arbitrator in 15 arbp-868.16(j).doc this case emanated from the order of the Supreme Court dated 6 th December, 2004 and thus question of following procedure under clauses 67.1 of the General Conditions of Contract as canvassed by the petitioner did not arise. He submits that the respondent had applied for extension of time to the Engineer of the petitioner on 30 th April, 2003, 17th November, 2003, 19th January, 2004, 21st January, 2004, 19th March, 2004, 2nd August, 2004 and 28th June, 2004. He submits that in some of these letters the respondent had based its claims on the basis of various clauses of the contract including clauses 6.4, 12.2 and 17.1, which includes cost component.

32. It is submitted that the respondent had also subsequently made a demand in the letter dated 19th January, 2004 for additional costs under clauses 12.2, 44, 51 and 52 and agreed to furnish the details to the Engineer in due course. He submits that by another letter dated 21st January, 2004, the respondent had expressly stated that the costs part arising with the extension of time would be dealt with separately. He submits that in the letter dated 19 th March, 2004, the respondent had made it clear that they were entitled for extension of time and the additional costs under clauses 12.2, 44, 51 and 52, though had agreed to furnish the details in due course. Similar demand was also made vide letter dated 2nd August, 2004, 28th June, 2004 and 20th November, 2004.

33. It is submitted by the learned senior counsel that the arbitration agreement arrived at between the parties before the Supreme Court covered not only the pending disputes but also pending differences and claims which agreement was wider than an agreement to refer merely 16 arbp-868.16(j).doc disputes which was a narrower term, and had encompassed even any differences and claims. He submits that the petitioner was aware of the difference between the terms "disputes" and "claim" and had used those terms in contra-distinction to each other in its written statement before the learned arbitrator. Reliance is placed on paragraphs 4 and 5 of the written statement.

34. It is submitted by the learned senior counsel that for arising a dispute, it requires an assertion by one and denial whether express or implied by other. He submits that on the contrary a difference or claim is a wider term embracing every species of legal demand which may or may not have yet turned into a dispute. Learned senior counsel placed reliance on page 129 of commentary by Mustill

& Boyd, Commercial Arbitration (Second Edition). He placed reliance on the judgment of this Court in case of M/s.Chadalavada Infratech Ltd. vs. Tata Capital Financial Services Limited, reported in 2013 SCC OnLine Bom.1490 and in particular paragraphs 2 and 6 to 8 in support of his submission that if there was a demand and though there is no denial of the claim, there was still dispute between the parties which could be referred to arbitration. He submits that the respondent had specifically made a demand not only for extension of time but also for payment of costs payable under the terms of the contract.

35. It is submitted that it was the duty of the Engineer to quantify not only the time required to be extended but also costs and for compensation arising out of such extended period and the Engineer not having computed any costs though demanded by the respondent, the 17 arbp-868.16(j).doc dispute existed between the parties. He submits that all such letters of extension raising a demand for payment of costs were addressed before invoking arbitration agreement and thus the Engineer of the petitioner not having quantified the costs and the petitioner not paying only compensation to the respondent, the disputes, differences or claims had arisen and were pending on the date of invocation of the arbitration agreement and were thus within the scope of reference to the learned arbitrator.

36. Learned senior counsel for the respondent placed reliance on the judgment of this Court in case of Nissan Copper Limited & Anr. vs. L & T. Finance Limited delivered on 30th September, 2013 in Arbitration Petition (Lodging) No.674 of 2013 and in particular paragraphs 1 and 3 in support of his submissions that the disputes / differences and claims in respect of claim nos.4 and 7 already having arisen and were pending on the date of invocation of the arbitration agreement were within the scope of a reference.

37. Learned senior counsel for the respondent placed reliance on the judgment of the Madras High Court in case of Thangia @ Thangavelu Onthiriyan & Ors. Vs. The Hanuman Bank Limited, reported in AIR 1958 Madras 403 and in particular paragraph 17 in support of his submission that the claim is a word of very extensive signification embracing every species of legal demand. Reliance is also placed on the judgment of the Jammu & Kashmir in case of Ghulam Qadir Baksh vs. State of Jammu & Kashmir & Ors., reported in AIR 1972 Jammu & Kashmir 44 and in particular paragraphs 5 and 11 to 13 18 arbp-868.16(j).doc on the interpretation of the words "all disputes" or "all claims". He also placed reliance on the judgment of the Queen's Bench Division in case of West Wake Price & Co. vs. Ching, reported in (1956) 3 All E.R. 821 and would submit that the claim is not the same thing as the cause of action by which the claim may be supported or on the grounds on which it may be based.

38. It is submitted by the learned senior counsel that since the matter was referred to arbitration in view of the order passed by the Supreme Court in accordance with the agreement arrived at between the parties before the Supreme Court, the respondent was not required to comply with any of the pre-requisite conditions of clause 67. He submits that in any event the parties had waived the requirement, if any, of such pre-conditions of issuance of notices by consenting to the order dated 6th December, 2004, passed by the Supreme Court He submits that there was comprehensive reference made to arbitration of not only all the pending disputes on which the petitioner or its Engineer had expressly repudiated the claims of the respondent but also pending differences and

claims made by the respondent which were not expressly denied by the petitioner or its Engineer. He submits that the Court cannot adopt a hyper technical approach while construing the arbitration agreement otherwise, the whole purpose of arbitration as an alternate to a Civil Court's proceedings would be defeated. In support of this submission, he placed reliance on the judgment of the Supreme Court in case of Sangamner Bhag Sahakari Karkhana Limited vs. M/s.Krupp Industries Limited, reported in AIR 2002 SC 2221 and more particularly paragraph 9 thereof.

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39. Learned senior counsel distinguished the judgment of this Court in case of Patel Engineering Company Limited (supra) on the ground that the said judgment does not apply to the facts of this case.

This Court in the said judgment was concerned with whether pre- requisites conditions of a contractual arbitration clause had been complied with or not. This Court found that the mandatory procedure prescribed by the contract had not been complied with in respect of some claims and thus found that the learned arbitrator had no jurisdiction to determine such claims. He submits that in this case, the parties have referred the disputes to arbitration in accordance with the arbitration agreement arrived at before the Supreme Court which agreement did not contemplate any precondition of referring the claims to the Engineer.

40. It is submitted by the learned senior counsel for the respondent that various notices issued by the respondent or claiming extension of time ipso facto included the claim for cost also. He submits that even if the cost is not specifically claimed by the respondent, the Project Engineer has to add the cost while considering the application for extension filed by the respondent from time to time. He submits that merely because the respondent had addressed a letter quantifying the claim after appointment of the arbitrator by the Supreme Court, it would be of no relevance. He placed reliance on FIDIC form of contract to butress his submission that the cost had to be quantified by the Project Engineer and was not required to be quantified by the respondent based on the extent of extension sought by the respondent and considered by the Project Engineer.

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41. Learned senior counsel placed reliance on the judgment of the Calcutta High Court in the case of Nandram Hanutram Vs. Raghunath and Sons Ltd., reported in AIR 1954 CALCUTTA 245 and in particular paragraphs 7 and 8 thereof. He submits that the cause of action or dispute may arise even if the repudiation by the other party is implied which may be either by words or by conduct. He submits that since the Project Engineer did not quantify the cost while considering the application for extension time, dispute between the parties had already arisen. He submits that failure to pay under a claim or right is certainly a dispute.ig

42. Learned senior counsel for the respondent placed reliance on the judgment of the Madhya Pradesh High Court in the case of State of M.P. Vs/M/s.Technodrillers, reported in 1998 (1) M.P.K.J. 602 and in particular paragraph 6 and would submit that since the respondent had made a

demand for extension and also for cost, silence on the part of the Project Engineer or by the petitioner to such letters of demand would also amount to refusal on the part of the petitioner to grant extension or to pay the amount of cost and thus upon such silence maintained by the petitioner, dispute and difference had already arisen. The respondent was not expected to wait till rejection in writing by the petitioner or their Project Engineer was received by the respondent.

43. Learned senior counsel for the respondent placed reliance on the judgment of the Supreme Court in the case of Mcdermott International Inc. Vs. Burn Standard Co. Ltd. & Ors., reported in (2006) 11 SCC 181 and in particular paragraphs 96 to 100 and would 21 arbp-868.16(j).doc submit that since the claim was made prior to invocation of arbitration, it become a dispute within the meaning of the provisions of the Arbitration Act. He submits that while claiming cost arising out of such extension, the respondent was not required to quantify the claim for compensation and/or cost which is merely a matter of proof and could be submitted even after invocation of arbitration agreement or even at the stage of filing of statement of claim.

44. Learned senior counsel for the respondent invited my attention to the discussion and findings of the learned arbitrator on the issue of jurisdiction in respect of claim nos.4 and 7 framed by the learned arbitrator as issue nos.I and II and would submit that the learned arbitrator after considering the evidence led by the parties and upon interpretation of the contract entered into between the parties and the order passed by the Supreme Court appointing the learned arbitrator has rendered a finding that the learned arbitrator had jurisdiction to entertain the claim nos.4 and 7 filed by the respondent which cannot be interferred by this Court.

45. Mr.Aney, learned senior counsel for the petitioner in rejoinder on the issue of jurisdiction invited my attention to paragraph

(e) of the order passed by the Supreme Court which provided that "all proceedings before the sole arbitrator shall be decided in accordance with law and without being influenced by observations recorded in the orders of the Bombay High Court." He submits that it is thus clear that the learned arbitrator was required to decide the dispute in accordance with the substantive law for the time being in force and was 22 arbp-868.16(j).doc bound to take into account the terms of the contract which provided for a mandatory procedure required to be followed by the contractor before invoking the arbitration agreement.

46. It is submitted that in view of specific conditions referred to aforesaid, more particularly clauses 67.1 to 67.4 of the General Conditions of Contract, both the parties were bound to follow the requisite procedure for making a demand and for referring the dispute to the arbitration. It is submitted that even if the learned arbitrator could entertain not only dispute but all also such claims and differences, the same could be entertained only after compliance of the mandatory requirements under clauses 67.1 to 67.4 of the General Conditions of the Contract by the respondent herein. It is submitted that whatever may have been the pending disputes at the time of passing of the order by the Supreme Court, except for a claim of liquidated damages of Rs.2,83,65,888/- which had been agitated before this Court and the Supreme Court by the respondent, there was no other dispute pending with reference to any monetary claims.

47. In so far as the reliance placed by the respondent on clauses 6.4 read with 6.5, 12.2, 17.1, 42.2 and 44.1 is concerned, it is submitted by the learned senior counsel for the petitioner that though some of the above referred clauses make it incumbent on the Engineer to determine the monetary compensation in the form of any amount of any cost which may have been incurred by the respondent, such a determination would be with reference to the relevant subject matter relating to that clauses before the Engineer. He submits that the respondent had applied for extension of time relatable to incorrect survey 23 arbp-868.16(j).doc data, obstructions in piling works, delay due to excess and extra quantity of the works, difficulties posed by climatic conditions, time taken for handing over of sites, for restriction in execution of hot-works, for certain purchase specification approvals and other miscellaneous works. It is submitted that in respect of such of these claims where the Engineer chose to grant extension of time, the respondent had received benefits in terms of price escalation and appropriate reduction in liquidated damages in terms of the provisions of clauses 70.1 and 47.2. The respondent had not made any other claim beyond the claim granted by the Engineer when he had granted extension of time.

48. In so far as the submission of the learned senior counsel for the respondent that it was the duty of the Engineer to quantify the cost when the respondent had applied for extension of time or that the quantification of the claim or proof of such claims for compensation could be submitted even after invocation of the arbitration agreement or at the stage of filing of statement of claim is concerned, learned senior counsel for the petitioner submits that the respondent ought to have quantified the claims with detailed particulars as contemplated under clauses 44.2 and 53.3 which were not furnished to the Engineer by the respondent in respect of claim nos.4 and 7.

49. It is submitted that the Engineer could not have imagined what claim could be raised in connection with the claims for compensation arising under clauses 6.4 read with 6.5, 12.2, 17.1, 42.2 and 44.1. He submits that the question of the Engineer quantifying the monetary compensation therefore did not arise. It is submitted that there 24 arbp-868.16(j).doc was thus no subsisting dispute, difference or claims in respect of claim nos.4 and 7 in so far as quantification thereof on the date of invocation of the arbitration agreement by the respondent is concerned. He submits that the General Conditions of Contract provided a detailed procedure for making claims in clauses 53.1 to 53.5. The respondent could have approached the Engineer under clauses 44.2 read with 53.1 to 53.3.

50. It is submitted by the learned senior counsel that even in their letters dated 21st January 2004 and 2nd August 2004 addressed by the respondent, the respondent had desired to raise a claim which cannot be stretched to include any actual amount of money. In so far as the letters dated 28th June 2004, 20th November 2004 addressed by the respondent which related to 4th extension of time is concerned, it is submitted by the learned senior counsel that though both these letters were issued by the respondent before the order of the Supreme Court came to be passed, since the claims had not progressed through the procedure laid down by clauses 44.2 and 67, the learned arbitrator had no jurisdiction to entertain those claims.

51. It is submitted that the respondent had not provided details of these claims with those two letters and thus the Engineer could never have acted merely on the basis of those two letters. He submits that those two letters did not constitute either a dispute or a difference. It is submitted that by the

said order dated 6 th December 2004 passed by the Supreme Court, only pending disputes, differences and claims as on the date of passing of the said order of the Supreme Court, could only be the subject matter of the arbitration and thus the claim nos.4 and 7 which did not satisfy the test of pending dispute, differences and claims 25 arbp-868.16(j).doc as contemplated under the said order of the Supreme Court and without satisfying the requirement of clause 67.1 of the contract, those claims were ex facie beyond the scope of reference made to the learned arbitrator.

52. Learned senior counsel for the petitioner distinguishes the judgments relied upon by the learned senior counsel for the respondent on the issue of jurisdiction on the ground that each of those judgments which dealt with the arbitrability of subsisting disputes, differences or claims were thus not applicable to the facts of this case.

53. Learned senior counsel for the petitioner distinguishes the judgment of the Jammu and Kashmir High Court in the case of Ghulam Qadir Baksh Vs. State of Jammu and Kashmir & Ors., reported in AIR 1972 J & K 44 on the ground that in the said judgment, the Jammu and Kashmir High Court has dealt with the arbitration agreement as defined under Section 2(a) of the Arbitration Act whereunder present or future disputes can be referred to arbitration. It is submitted that in this case, however, under the order of the Supreme Court only pending disputes, differences and claims were to be referred.

54. It is submitted by the learned senior counsel for the petitioner that since there was no assertion of the rights in respect of the said claim nos.4 and 7, question of any inaction or non-action on the part of the petitioner in respect of those two claims did not arise. Learned senior counsel for the petitioner distinguishes the judgment of the Calcutta High Court in the case of Nandram Hanutram Vs. Raghunath 26 arbp-868.16(j).doc and Sons Ltd.(supra) and the judgment of the Madhya Pradesh High Court in the case of State of M.P. Vs. M/s. Technodrillers (supra) on that ground.

55. It is submitted by the learned senior counsel for the petitioner that in this case, the jurisdiction of the learned arbitrator stood confined to the pending disputes, differences and claims as stood on 6 th December 2004 i.e. the date on which the Supreme Court passed an order. He submits that since there were no subsisting disputes, differences or claims in respect of claim nos.4 and 7, the learned arbitrator could not have travelled beyond the terms of reference. Those claims were not referred to the learned arbitrator and thus could not have entertained and adjudicated upon by him.

56. Learned senior counsel placed reliance on the judgment of the Supreme Court in the case of Indian Aluminum Cables Ltd. Vs. Haryana State Electricity Board and Ors., reported in 1996 (5) SCALE 708 and in particular paragraphs 2 and 3 in support of his submission that the learned arbitrator ought to have confined himself to the reference made to him by the parties or by the Court and could not have travelled outside the reference merely because under the terms of contract, the dispute in regard to those claims i.e. claim nos.4 and 7 could have been covered and could have been referred to the arbitration.

57. Mr.Khambatta, learned senior counsel for the respondent submits that contents of paragraph 1 of the Supreme Court order dated 6th December 2004 referred to all pending disputes, differences

and 27 arbp-868.16(j).doc claims which had the effect of replacing the provisions of clause 67 of the General Conditions of Contract whereas the contents of paragraph 2(i) of the order passed by the Supreme Court emanating from the two orders passed by this Court. The contents of paragraphs 1 and 2(i) of the order passed by Supreme Court are mutually exclusive. The learned arbitrator was thus not required to rely upon the provisions of Clauses 67.1 to 67.4 of the General Conditions of Contract.

58. It is submitted by the learned senior counsel that the application for extension to time ipso facto includes an application for addition cost. The determination of the compensation for delays is independent of the provisions of price escalation under clause 70.1 and liquidated damages under clause 47.2. He submits that in terms of clause 5.8 of the Contract, the respondent had already contemporaneously submitted the Daily Shift Reports and the Weekly Progress Reports to the Engineer within the meaning of clause 53.2 of the General Conditions of Contract which contained sufficient details facilitating the Engineer to assess and quantify the compensable delays. He submits that no instruction was received from the Engineer by the respondent to keep any further contemporaneous records as were reasonable to enable the Engineer to determine the related cost.

59. It is submitted that in any event in terms of clause 53.4, the learned arbitrator was empowered to determine the cost based on contemporary records, whether or not such records were brought by the respondent before the Engineer or not. In support of this submission, learned senior counsel for the respondent placed reliance on the letters dated 14th January 2002, 30th April 2003, 17th November 2003, 19th 28 arbp-868.16(j).doc January 2004, 21st January 2004, 19th March 2004, 28 June 2004, 2nd August 2004, 28th June 2004 and 20th November 2004. It is submitted that a duty was cast upon the Engineer under clauses 12.2, 44.1(a), 44.1(c), 44.1(d) and 44.1(e) to quantify the related costs due to extension of contract period. It is submitted by the learned senior counsel that the petitioner could not distinguish the judgments relied upon by the respondent and those judgments squarely apply to the facts of this case and are binding on this Court.

REASONS AND CONCLUSIONS ON THE ISSUE ON JURISDICTION (CLAIM NOS.4 AND 7) :-

> 60. Learned arbitrator has framed issue nos.I and II regarding jurisdiction to entertain and dispose of claim nos.4 and 7 i.e. claims on account of delay after 10th June 2004 and claim by way of compensation for extended stay. Learned arbitrator has also framed an issue as to whether the petitioner herein had waived their rights and/or estopped and/or precluded from raising the objection relating to the jurisdiction of the learned arbitrator in respect of claim nos.4 and 7.
>
> 61. Learned arbitrator had discussed these two issues in paragraphs 15 to 17 and has rendered his conclusions in paragraphs 18 and 19 of the impugned award.
>
> 62. It is held by the learned arbitrator that on plain interpretation of the order dated 6th December 2004 passed by the Supreme Court, it would mean that all pending disputes and differences arising out of the said contract would be referred to arbitration and thus it would not now 29 arbp-868.16(j).doc be open to the petitioner

herein to contend that they had objected to a reference of future disputes being referred to arbitration in the letter dated 11th November 2004 in respect of the future disputes and differences. It is also observed by the learned arbitrator that objection raised by the petitioner in the letter dated 11 th November 2004 was not sustainable as it had pleaded in the correspondence referred by the parties that the hindrances before 10th June 2004 were sufficient to entitle the respondent to extension of time till the actual date of completion.

63. It is held by the learned arbitrator that clause 67.3 as amended in the Conditions of Particular Application sets out that the arbitrator had full power to open up, review and revise any decision, opinion or instructions or determination, survey of valuation of the Engineer related to the disputes. It is held that since the parties had agreed to the arbitral tribunal being entitled to adjudicate upon any matter related to the dispute, the arbitral tribunal would have power to resolve all pending dispute between the parties. It is held by the learned arbitrator that there was no doubt, a plain interpretation of the order passed by the Supreme Court read with the correspondence placed on record by the parties and the objections raised in the submissions in the written submissions that the parties had agreed to refer all disputes arising out the said contract to arbitration.

64. Clauses 67.1 to 67.3 of the General Conditions of Contract which recorded an arbitration agreement and a procedure for invoking arbitration agreement are extracted as under:-

30 arbp-868.16(j).doc Statement of Disputes :-

67.1 Engineer's If a dispute of any kind whatsoever arises between Decision the Employer and the Contractor in connection with, or arising out of, the Contract or the execution of the Works, whether during the execution of the Works or after their completion and whether before or after repudiation or other termination of the Contract, including any dispute as to any opinion, instruction, determination, certificate or valuation of the Engineer, the matter in dispute shall, in the first place, be referred in writing to the Engineer, with a copy to the other party. Such reference shall state that it is made pursuant to this Clause. No later than the eighty-

fourth day after the day on which he received such reference the Engineer shall give notice of his decision to the Employer and the Contractor. Such decision shall state that it is made pursuant to this Clause.

Unless the Contract has already been repudiated or terminated, the Contractor shall, in every case, continue to proceed with the Works with all due diligence and the Contractor and the Employer shall give effect forthwith to every such decision of the Engineer unless and until the same shall be revised, as hereinafter provided, in an amicable settlement or an arbitral award.

If either the Employer or the Contractor be dissatisfied with any decision of the Engineer, or if the Engineer fails to give notice of his decision on or before the eighty-fourth day after the day on which he received the reference, then either the Employer or the Contractor may, on or before the seventieth day after the day on which he received notice of such decision, or on or before the seventieth day after the day on which the said period of 84 days expired, as the case may be, give notice to the other party, with a copy for 31 arbp-868.16(j).doc information to the Engineer, of his intention to commence arbitration, as hereinafter provided, as to the matter in dispute. Such notice shall establish the entitlement or the party giving the same to commence arbitration, as herein provided, as to such dispute and, subject to Sub-Clause 67.4, no arbitration in respect thereof may be commenced unless such notice is given.

If the Engineer has given notice of his decision as to matter in dispute to the Employer and the Contractor and no notice of intention to commence arbitration as to such dispute has been given by either the Employer or the Contractor on or before the seventieth day after the day on which the parties received notice as to such decision from the Engineer, the said decision shall become final and binding upon the Employer and the Contractor.

67.2 Amicable Where notice of intention to commence arbitration Settlement as to a dispute has been given in accordance with Sub-Clause 67.1, the parties shall attempt to settle such dispute amicably before the commencement of arbitration. Provided that, unless the parties otherwise agreed the arbitration may be commenced on or after the Fifty Sixth (56) day after the day on which notice of intention to commence arbitration of such dispute was given, even if no attempt at amicable settlement thereof has been made.

67.3 Arbitration Any dispute in respect of which:

> (a) the decision, if any, of the Engineer has not become final and binding pursuant to Sub-Clause 67.1, and
>
> (b) amicable settlement has not been reached within the period stated in Sub-Clause 67.2 shall be finally settled, unless otherwise specified in the Contract, under the Rules of Conciliation and Arbitration of the International Chamber of Commence by one or more arbitrators appointed 32 arbp-868.16(j).doc under such Rules. The said arbitrator/s shall have full power to open up review and revise any decision, opinion, instruction, determination, certificate or valuation of the Engineer related to the dispute.

Neither party shall be limited in the proceedings before such arbitrator/s to the evidence or arguments put before the Engineer for the purpose of obtaining his said decision pursuant to Sub-

Clause 67.1. No such decision shall disqualify the arbitrator/s on any matter whatsoever relevant to the dispute.

Arbitration may be commenced prior to or after completion of the Works, provided that the obligations of the Employer, the Engineer and the Contractor shall not be altered by reason of the arbitration being conducted during the progress of the Works.

65. A perusal of the order passed by the Supreme Court on 6 th December 2004 in Special Leave to Appeal (Civil) No. 16816 of 2004 which was disposed of in terms of the consent terms filed by the parties indicates that the respondent had agreed to the proposal of the petitioner's letter dated 11th November 2004 that a retired Chief Justice of India was appointed as an arbitrator in respect of all pending dispute, differences and claims. There is no dispute that prior to the date of the said consent terms filed before the Supreme Court, both the parties had exchanged several letters in respect of various claims made by the respondent under various provisions of the General Conditions of Contract. The respondent had made some of the claims before the Engineer under clause 67.1 of the General Conditions of Contract. Some of such letters addressed by the respondent were responded to by the Engineer of the petitioner.

66. The respondent had also made a specific demand for 33 arbp-868.16(j).doc referring the dispute to the arbitration in accordance with clauses 67.1 to 67.3 of the General Conditions of Contract. The respondent had also made a demand for referring the dispute to the arbitration in respect of the claims which may arise in future. In this background of the matter, questions that arise for consideration is (i) whether the arbitration agreement recorded in clauses 67.1 to 67.4 of the General Conditions of Contract was substituted by the consent terms filed by the parties before the Supreme Court or not (ii) whether in view of the consent terms filed by the parties before the Supreme Court, procedure required to be followed under clauses 67.1 to 67.3 of the General Conditions of Contract was not required to be followed.

67. A perusal of the clauses 67.1 to 67.3 of the General Conditions of Contract provides that the dispute of any kind whatsoever between the employer and the contractor in connection with, or arising out of, the contract or the execution of the works, whether during the execution of the Works or after their completion and whether before or after repudiation or other termination of the Contract etc. has to be referred to in writing to the Engineer, with a copy to the other party. The Engineer has to give notice of his decision to the employer or the contractor within the time prescribed therein. The employer or the contractor if dissatisfied with any decision of the Engineer or the Engineer fails to give any notice of his decision within the time prescribed then within the time prescribed under clause 67.1, either the employer or the contractor has to give notice to the other party, with a copy for information to the Engineer, of his intention to commence arbitration. If no such notice of intention to commence arbitration is given as to such dispute on or before the prescribed period, the decision 34 arbp-868.16(j).doc shall become final and binding upon the employer and the contractor.

68. A perusal of the clauses 67.1 to 67.3 of the General Conditions of Contract indicates that it does not refer to a reference of any claim of any of the parties to the arbitration but only refers to disputes between the parties.

69. A perusal of the order passed by the Supreme Court on 6 th December 2004 in terms of the consent terms however indicates that the parties had agreed to refer all pending disputes/differences and claims, for adjudication thereof to the arbitration of a retired Chief Justice of India. This Court thus will have to consider whether the claims made in the statement of claim filed by the respondent before the learned arbitrator would fall within the parameters of the reference to arbitration agreed upon by the parties before the Hon'ble Supreme Court or not.

70. In my view, by virtue of the consent terms having been filed by the parties before the Supreme Court thereby referring all pending disputes/ differences and claims of the parties referred to the arbitration of a retired Chief Justice of India, the procedure prescribed in clause 67.1 to 67.3 of the General Conditions of Contract was superseded and was waived by the parties.

71. This Court in the case of Chadalavada Infratech Ltd. Vs. Tata Capital Financial Services Ltd. (supra) has dealt with an arbitration clause which provided that disputes, differences and/or claims arising out of those presents or as to the construction, meaning or effect thereof or as to the rights and liabilities of the parties therein shall be settled by 35 arbp-868.16(j).doc arbitration in accordance with the provisions of the Arbitration and Conciliation Act, 1996. This Court held that non-payment of dues on demand having been raised, dispute between the parties had arises and thus such dispute was required to be referred to the arbitration under the said arbitration agreement. This Court after interpreting the similar agreement has held that even in case of claim of the respondents and/or the petitioners, such claim could have been referred to arbitration and has to be settled by arbitration.

72. This Court rejected the submission of the learned counsel for the petitioners therein that since there was no denial of the claim, there was no dispute and thus arbitrator could not have been appointed under the arbitration agreement read with Section 7 of the Arbitration and Conciliation Act, 1996. It is held that non-payment of dues on demand having been raised amounts to dispute which can be referred to arbitration. This Court also adverted to the earlier judgment of this Court delivered on 30th September 2013 in the case of Nissan Copper Ltd. & Anr. Vs. L & T Finance Ltd. (supra) in Arbitration Petition (L) No.674 of 2013.

73. Since this Court is of the view that the arbitration agreement recorded in clauses 67.1 to 67.3 of the General Conditions of Contract is superseded by the consent terms filed by the parties before the Supreme Court which provides that all disputes/differences and claims of the parties were agreed to be referred to arbitration, the judgment of this Court in the case of Nissan Copper Ltd. & Anr. Vs. L & T Finance Ltd. (supra) would squarely apply to the facts of this case. I am respectfully 36 arbp-868.16(j).doc bound by the said judgment.

74. This Court in the case of Nissan Copper Ltd. & Anr. Vs. L & T Finance Ltd. (supra) had considered a similar clause and has held that even claims made by the parties were required to be referred to the arbitration. The judgment of this Court in the case of Nissan Copper Ltd. & Anr. Vs. L & T Finance Ltd. (supra) applies to the facts of this case.

75. Madras High Court ig in the case of Thangia alias Thangavelu Onthiriyan & Ors. (supra) has construed the term "claim". It is held that the said term "claim" also signifies a demand made of a right or supposed right, a calling of another to pay something due or supposed to be due, as a claim for wages or services. The term "claim" is sufficiently comprehensive to embrace actions founded on torts as well as actions founded on contract. It is held that the term "claim" is a word of very extensive signification embracing every species of legal demand.

76. In my view, a perusal of the correspondence exchanged between the parties to which my attention is invited by the learned senior counsel for the parties clearly indicates that in respect of the claims made by the respondent by various correspondence prior to the date of filing of the consent terms before the Supreme Court, all the claims made in the statement of claim before the learned arbitrator were already demanded by the respondent from the petitioner. Even if there was no specific denial or there was total silence on the part of the petitioner in not specifically rejecting those claims made by the respondent, even 37 arbp-868.16(j).doc such claims were agreed to be referred to the arbitration in the consent terms arrived at between the parties before the Supreme Court. In my view, there is thus no substance in the submission of the learned senior counsel for the petitioner that some of the claims which were not referred to the Engineer for determination under clause 67.1 of the General Conditions of Contract could not be referred to arbitration. I am in agreement with the views expressed by the Madras High Court in the case of Thangia alias Thangavelu Onthiriyan & Ors. (supra).

77. Jammu & Kashmir ig High Court in the case of Ghulam Qadir Baksh Vs. State of Jammu & Kashmir and Ors.(supra) has held that the term "difference" indicates the working of the mind of a particular party with respect to a certain matter. The term "difference" is a more positive term. When such differences assume a more definite and concrete form, they become dispute. The Jammu and Kashmir High Court also adverted to the treatise of Russel in his book of Arbitration in 15th Edition on the term "all disputes" or "all claims" by itself is wider than "all disputes arising out of the contract." In the said treatise, it is mentioned that failure to pay under a claim of right is certainly a dispute. The claim of right need not necessarily be expressed. It may and should justly be inferred against the defendant from his sphinx like silence in an appropriate case. It is provided that it is not the law that person who desires to evade arbitration may not write letters in answer to a claim explaining, justifying his conduct and then turn round and say there is no dispute.

78. Queen's Bench Division in the case of West Wake Price 38 arbp-868.16(j).doc & Co. Vs. Ching (Supra) has construed the word "claim" and has held that the word "claim" -whether used in a popular sense or in a strict legal sense is such as to attach to it the object that is claimed and is not the same thing as the cause of action by which the claim may be supported or as the grounds on which it may be based. In the Oxford Dictionary "claim" is defined as first, "A demand for something as due; an assertion of a right to something."

79. In my view, though in respect of some of the claims though made by the respondent before the Engineer in terms of clause 67.1 of the General Conditions of Contract which were not supported with the contemporary documents, it could not be said that such claims would not be covered by expression "claim" agreed to be referred to the arbitration under the consent terms arrived at

between the parties before the Hon'ble Supreme Court.

80. Supreme Court in the case of Sangamner Bhag Sahakari Karkhana Ltd. Vs. M/s.Krupp Industries Ltd. (supra) has adverted to its earlier judgment in the case of Renusagar Power Co. Ltd. Vs. General Electric Company & Anr., reported in (1984) 4 SCC 679 and has held that the arbitration agreement recorded between the parties was of widest amplitude wherein the expression such as 'arising out of' or 'in respect of' or 'in connection with' or 'in relation to' or 'in consequence of' or 'concerning' or 'relating to' the contract which are interpreted and it was held that it was the substance of the claim made before the arbitration which has to be seen. The Court would not construe the nature of claim by adopting too technical an approach or by indulging into hair-

39 arbp-868.16(j).doc splitting. Otherwise the whole purpose behind holding the arbitration proceedings as an alternate to civil Court's forum would stand defeated.

81. In my view, the learned arbitrator in this case has rightly interpreted the consent terms which was in my view was an arbitration agreement arrived at by and between the parties before the Supreme Court thereby superseding the arbitration agreement recorded in clause 67.1 of the General Conditions of Contract. The interpretation of the learned arbitrator of the arbitration agreement recorded in consent terms is a possible interpretation and cannot be substituted by this Court by another interpretation.

82. In so far as the judgment of this Court in the case of Patel Engineering Co. Ltd. (supra) relied upon by Mr. Aney, learned senior counsel for the petitioner is concerned, in my view, Mr.Khambatta, learned senior counsel for the respondent has rightly distinguished the said judgment in the facts of this case on the ground that in this case, the arbitration agreement recorded in clause 67.1 of the General Conditions of Contract and the procedure prescribed therein was superseded by virtue of the consent terms arrived at between the parties by recording another arbitration agreement before the Supreme Court. In my view, the judgment of this Court in the case of Patel Engineering Company Ltd.

(supra) is clearly distinguishable in the facts of this case and would not assist the case of the petitioner.

83. Calcutta High Court in the case of Nandram Hanutram Vs. Raghunath and Sons Ltd. (supra) has held that cause of action of dispute may arise even if the repudiation by the other party is implied 40 arbp-868.16(j).doc which may either by words or by conduct.

84. Madhya Pradesh High Court in the case of State of M.P. Vs. M/s. Technodrillers (supra) has held that a difference or dispute does not arise in a vacuum. When the petitioner had sent series of correspondences asserting his dues to be paid to him but sphinx-like silence was maintained and no action was taken, it can be inferred that the difference had already arisen. It is held that silence is not a golden one, was in fact, a repudiation of the claim asserted by the claimant. The claimant is not expected to wait till the authorities wake up from their slumber and react nor is it expected from him to cultivate job's patience. It is held that once there is assertion or denial, either expressed or

implied, there comes into existence a dispute.

85. In my view, since the respondent had demanded various claims from time to time prior to the date of filing the consent terms before the Hon'ble Supreme Court which were not considered by the petitioner or were not specifically rejected and the silence was maintained in respect thereto, the dispute/difference had arisen between the parties which were referred to arbitration pursuant to the arbitration agreement arrived at before the Hon'ble Supreme Court by filing consent terms. I am in agreement with the views expressed by the Calcutta High Court in the case of Nandram Hanutram Vs. Raghunath and Sons Ltd. (supra) and by the Madhya Pradesh High Court in the case of State of M.P. Vs. M/s. Technodrillers (supra).

86. In so far as the submission of the learned senior counsel for 41 arbp-868.16(j).doc the petitioner that the respondent ought to have not only made a demand under clause 67.1 of the General Conditions of Contract but also ought to have quantified the claims for determination of the Engineer is concerned, since this Court is of the view that the arbitration agreement recorded in clause 67.1 of the General Conditions of Contract was superseded by a separate agreement arrived at between the parties before the Hon'ble Supreme Court, the alleged non-compliance on the part of the respondent of the provisions of clauses 67.1 to 67.3 of the General Conditions of Contract could not have precluded the learned arbitrator from exercising his jurisdiction.

87. Supreme Court in the case of McDermott International Inc. Vs.Burn Standard Co. Ltd. and Ors. (supra) has held that once a claim was made prior to invocation of the arbitration agreement, it became a dispute within the meaning of the provisions of the 1996 Act.

It is held that while claiming damages, the amount therefore was not required to be quantified. Quantification of a claim is merely a matter of proof. In my view, since clauses 67.1 to 67.3 of the General Conditions of Contract were not applicable in view of the consent terms filed between the parties, even if the petitioner had quantified various claims after the order of the Supreme Court, the learned arbitrator did not cease to have jurisdiction to decide the quantification of the claim made by the petitioner.

88. Be that as it may, since the Engineer appointed by the petitioner has already rejected the claim for extension of time for substantial period, the respondent was not precluded from raising the claim for quantification in the arbitration proceedings. A perusal of the 42 arbp-868.16(j).doc correspondence exchanged between the parties clearly indicates that the respondent had quantified the claims in respect of some of the claims and had agreed to provide such details subsequently. Be that as it may, the judgment of the Supreme Court in the case of McDermott International Inc. Vs.Burn Standard Co. Ltd. and Ors. (supra) holding that while claiming damages, amount was not required to be quantified which is merely a matter of proof applies to the facts of this case. I am respectfully bound by the said judgment.

89. In so far as the submission of the learned senior counsel for the petitioner that even if the parties had agreed to appoint an arbitrator by filing consent terms before the Hon'ble Supreme Court and it was agreed that the disputes/differences and claims were referred to the arbitration of the learned

sole arbitrator, the mandatory procedure under clauses 67.1 to 67.3 of the General Conditions of Contract was not dispensed with and the learned arbitrator could not have jurisdiction to decide the claims if mandatory procedure was not followed is concerned, in my view, the said issue was not kept open by the Honble Supreme Court while referring the disputes/differences and claims to the learned arbitrator. It is not in dispute that the petitioner did not apply for modification of the consent terms before the Supreme Court or for clarification of the said order passed by the Supreme Court in terms of the consent terms filed by the parties. In my view, the entire clauses 67.1 to 67.3 of the General Conditions of Contract stood substituted by the provisions of the consent terms filed by the parties before the Hon'ble Supreme Court.

90. In so far as the submission of Mr.Aney, learned senior 43 arbp-868.16(j).doc counsel for the petitioner that since the respondent had not quantified the claims with detailed particulars as contemplated under clauses 44.2 and 53.3 to the Engineer in respect of the claim nos.4 and 7, the Engineer could not have imagined what claim could be raised in connection with the claims for compensation arising under clauses 6.4 read with 6.5, 12.2, 17.1, 42.2 and 44.1 is concerned, in my view, there is no substance in this submission of the learned senior counsel for the petitioner on the issue of jurisdiction raised by the petitioner. The respondent in any event had to prove their claim for compensation independently before the learned arbitrator.

91. The petitioner did not raise any issue before the Supreme Court that the learned arbitrator will not have jurisdiction to entertain the claims on the ground of alleged non-compliance of clauses 44.2 and 53.3 by the respondent. In my view, there is no substance in the submission of the learned senior counsel for the petitioner that the learned arbitrator has travelled beyond the terms of the reference or that he could not have entertained and adjudicated upon various claims made by the respondent on the ground that the terms and conditions of clauses 67.1 to 67.3 of the General Conditions of Contract were not complied with by the respondent though the Hon'ble Supreme Court had appointed an arbitrator by consent of parties thereby referring all disputes/ differences and claims made by the parties.

92. In so far as the judgment of the Supreme Court in the case of Indian Aluminum Cables Ltd. Vs. Haryana State Electricity Board and Ors.(supra) is concerned, Supreme Court has held that the learned arbitrator has to confine himself to the reference made to him by the 44 arbp-868.16(j).doc parties or by the Court and cannot travel outside the reference is concerned, in my view, in view of the arbitration agreement recorded by the parties before the Supreme Court in the consent terms, the learned arbitrator has decided the claims according to the terms of the reference recorded in the consent terms and thus the petitioner cannot be allowed to urge that the learned arbitrator has decided outside the reference made by the parties or by the Court. The judgment of the Supreme Court in the case of Indian Aluminum Cables Ltd. Vs. Haryana State Electricity Board and Ors.(supra) thus would not assist the case of the petitioner.

93. In so far as the submission of the learned senior counsel for the respondent that the respondent had already submitted contemporaneous record to the Engineer withing the meaning of clause 53.3 is concerned, this issue will be decided by this Court while dealing with the claims for compensation made by the respondent and awarded by the learned arbitrator in latter part of this judgment. In my

view, there is thus no merit in the submission of the learned senior counsel for the petitioner that any of these claims made by the respondent in the arbitral proceedings were beyond the scope of reference or that the learned arbitrator has travelled beyond his jurisdiction and the reference made to him by the parties or by the Court.

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94 .(i) Whether claim for reimbursement of deemed export
       customs         duty      made by the respondent          was beyond the
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jurisdiction of the learned arbitrator not having been raised before the Engineer nor before the Supreme Court on 6 th December 2004.

(ii) Whether the payment of customs duty and excise duty was 45 arbp-868.16(j).doc included in the bill amount submitted by the respondent or was separately payable by the petitioner and whether the award in respect thereof was contrary to the terms and conditions of the contract.

95. Learned senior counsel for the petitioner made his submission in respect of this claim in two parts i.e. on issue of jurisdiction and on merits. In so far as the issue of jurisdiction raised by the petitioner for consideration of this Court is concerned, it is submitted that the claim for reimbursement of deemed export and customs duty was never raised by the respondent before the Engineer as contemplated under clause 67.1 of the General Conditions of Contract. It is submitted that the said claim was also not raised when the order dated 6th December 2004 was passed by the Supreme Court appointing the learned arbitrator and referring various disputes to arbitration.

96. It is submitted that since the claim was required to be made before the Engineer which was not made in this case, the arbitration agreement could not have been invoked without following the mandatory conditions of making claim before the Engineer. Learned senior counsel, however, fairly concedes that in so far as the claim for deemed export and customs duty made by the respondent in the statement of claim is concerned, no issue of jurisdiction was raised by the petitioner under Section 16 of the Arbitration Act before the learned arbitrator in the statement of defence filed by the petitioner or by making any application under Section 16 of the Arbitration Act before filing of statement of defence.

97. It is submitted by the learned senior counsel that though the 46 arbp-868.16(j).doc issue of jurisdiction was not specifically raised by the petitioner in so far as this claim is concerned, before the learned arbitrator under Section 16 of the Arbitration Act, since the learned arbitrator has to decide in accordance with the provisions of contract and substantive law of India in view of Section 28 of the Arbitration Act, there being pre-condition for making a claim before the Engineer by the Contractor before invoking arbitration agreement, the learned arbitrator was bound to reject the claim for reimbursement of deemed export and customs duty being contrary to and without complying with mandatory conditions under clauses 67.1 to 67.3 of the General Conditions of

Contract. He submits that since the learned arbitrator had decided contrary to the terms of the contract, the said issue can be raised by the petitioner even at this stage in this arbitration petition.

98. Without prejudice to the submissions of the petitioner on the issue of jurisdiction in respect of this claim, learned senior counsel for the petitioner made submissions on maintainability of the claim itself as under :-

99. Learned senior counsel for the petitioner placed reliance on clause 2.1 of Section I of Instructions to Bidders forming part of Volume I of Tender Documents and submits that under the said clause, it was clearly provided that although the source of funding was the Asian Development Bank, no party other than the petitioner would derive any rights from the loan. He submits that there is no dispute that the petitioner had never availed of loan from Asian Development Bank. He placed reliance on clause 14.3 of Section I of Instructions to Bidders and 47 arbp-868.16(j).doc submits that it is specifically provided therein that the Customs duty and Excise duty would be included in the rate and prices and the total bid price. The evaluation and comparison of bids shall be made accordingly. He placed reliance on clause 14.4 of Section I of Instructions to Bidders and would submit that the bidder was required to take into consideration the payment of Customs duty and Excise duty 28 days prior to the dead line for submission of bids. He also placed reliance on clause 70.3 of Conditions of Particular Application and submits that it is specifically provided therein that in case of change of law leading to increase in duties and if such change occurred in 28 days prior to submission of the final price bid, then the respondent would be indemnified by the petitioner for increased cost. He submits that under clause 70.4 of Conditions of Particular Application, it is provided that if the taxes are reduced after the award of contract, the benefit of reduction of such taxes would be given to the petitioner.

100. Learned senior counsel for the petitioner placed reliance on clause 26.2 of Special Conditions of Contract which deals with the payment of customs duty and would submit that the customs duty was applicable as per Project Import Chapter 9801.00 read with Notification No.11-97, Serial No.226 (vi) and Notification No.23-98 of Customs Tariff, Government of India. He also placed reliance on clause 2.0 of the Preamble to the Bill of Quantities which provided that the rates and prices shall include for various items including Excise Duty, duties etc. (other than Customs Duty for materials to be permanently incorporated into works) and for compliance with the Conditions of Contract and Conditions of Particular Application etc.

101. It is submitted that there is some ambiguity in the said 48 arbp-868.16(j).doc clause 2.0 of the Preamble to the Bill of Quantities and thus the priority of contractual documents as stated in clause 5.2 of the General Conditions of Contract, Part II, Conditions of Particular Application along with its amendment has to be considered. He submits that the Priced Bill of quantities is at serial no.8 of the list of priority provided in the said provision. It is submitted that only in the rejoinder filed before the learned arbitrator, the respondent had alleged that the respondent was not liable to include the customs duty in the price bid. It is submitted that in case of any inconsistency in various documents and in this case, in case of Priced Bill of Quantities and preamble thereto with the Letter of Acceptance and other documents at serial nos.1 to 7 as per clause 5.2 of the General Conditions of Contract, what is stated in Letter of Acceptance and other documents which are above at serial no.8

would prevail.

102. It is submitted by the learned senior counsel that pre-bid meeting was held on 15th and 16th November 1999 in which various queries raised by the bidders were answered and were recorded which were forwarded by the petitioner to the bidders including the respondent vide letter dated 1st December 1999. He submits that in the said pre-bid meeting, a specific query was raised by one of the bidders about kind of help that would be extended by the petitioner to expedite procuring materials, plant, contractor's equipment, service etc. from sources outside India. The petitioner had specifically clarified that the assistance of the petitioner would be limited to as specified in Sub-clause 26.2 of the Conditions of Contract. He submits that it was thus clear that the rates and prices were inclusive of Customs Duty and in any event, it 49 arbp-868.16(j).doc was the duty of the respondent to avail of any such concession by obtaining the Essentiality Certificate.

103. Learned senior counsel invited my attention to some of the correspondence exchanged between the parties relating to this claim for reimbursement of deemed export and customs duty.

104. On 17th January 2000, the respondent addressed a letter to the petitioner thereby submitting their technical bid. The respondent had submitted their Bill of Quantities along with their price bid. The said price bid submitted by the respondent was accepted by the petitioner on 19th September 2000. It is submitted that the respondent had appointed their sub-contractor who was informed that they will have to pay customs duty. He submits that even the contract entered into between the respondent and their sub-contractor would clearly indicate that price bid was inclusive of customs duty. On 28 th September 2000, the petitioner forwarded a Detailed Letter of Acceptance. Clause 6 of the said letter clearly provided that the customs duty on materials to be imported and permanently incorporated into the works, shall be deemed to be included in the rates and prices quoted by the respondent.

105. On 16th February 2001, the respondent addressed a letter to their sub-contractors. Clause 5 of the said letter provided that there was a "likelihood" of obtaining concessions on Customs duty and that the respondent was eligible to get an Essentiality Certificate. The said clause further stated that the quoted rates should be inclusive of Customs duty. The respondent issued work orders to their sub-contractor M/s.Raunaq 50 arbp-868.16(j).doc International Ltd. Clause 5 of the said work orders also referred to similar provision which was referred in the letter dated 16 th February 2001.

106. On 25th September 2001, the respondent addressed a letter to the petitioner claiming a refund of the Central Excise Duty paid on inputs used in the Project from DGFT and stated that they required Project Authority Certificate and Certificate of payments as per the enclosed formats.

107. On 27th September 2001, the petitioner replied to the letter of the respondent requesting the respondent to clarify as to how the respondent was entitled to refund of excise duty paid on inputs used in the Project from DGFT with the supporting documents. The petitioner also conveyed that the certificate as requested by the respondent could not be given since certain stipulations were not factually correct namely the contract awarded to the respondent was not for supply of goods, the tender evaluation was carried out including the customs duty and the supplies had not been

accepted by the petitioner at site etc.

108. Vide their letter dated 6th November 2001, the respondent alleged that since the project was aided by multinational funding agencies, they were entitled to the benefit of refund of Central Excise Duty. It was stated that the payment certificate and other allied certificates to be issued by the petitioner were required to facilitate the process of retrieving the refund.

109. The petitioner vide their letter dated 9th January 2002 replied 51 arbp-868.16(j).doc to the letter dated 6th November 2001 and denied that the contract awarded to the respondent allowed benefit to the respondent for deemed export project under Chapter X of EXIM Policy on the ground that the project was to be funded by Asian Development Bank. The petitioner clarified that the contract did not envisage availing of any benefit for refund of Excise Duty to the contractor. It was also placed on record that the offer submitted by the respondent did not stipulate any such requirement. Attention of the respondent was invited to clause 14.3 of Instructions of Bidders and clause no.2 of Preamble to Bill of Quantities and it is stated that rates and prices quoted by the respondent were inclusive of all taxes and duties whatsoever including the excise duty. The petitioner in the said letter stated that the tender evaluation had been done inclusive of Customs Duty and thus the said contract did not envisage refund of any duty. The Finance Manager of the respondent had agreed to re-examine the issue.

110. On 16th January 2002, the respondent addressed a letter to the petitioner and requested for making an arrangement of Essentiality Certificate from the Ministry. The respondent requested the petitioner to be consignee in the matter of permanent materials to be imported by the respondent at their cost (covering payments of materials by letter of credit) including freight insurances, taxes, custom duty and any other charges whatsoever payable in connection with the import and its incorporation in the work. In the said letter, the respondent confirmed that the petitioner becoming consignee, it would not absolve the respondent from any of the obligations and would not alter the payment terms under the contract dated 19 th September 2000 awarded to the 52 arbp-868.16(j).doc respondent by the petitioner.

111. The respondent in the said letter dated 16 th January 2002 gave an undertaking to abide by all the obligations, responsibilities etc. as if the respondent themselves were the consignees and agreed to indemnify the petitioner for such consequences arising ouot of the petitioner becoming the consignee.

112. The respondent clarified that the responsibilities of the petitioner would be the same as under the contract and would be limited to issuing required recommendatory letters for obtaining such permits and licenses and made it clear that the said undertaking did not in any way vitiate their contractual liabilities and the obligations cast upon the respondent under the contract dated 19th September 2000. The respondent accordingly requested the petitioner to grant Essentiality Certificate at the earliest to enable the respondent to expedite the procurement action.

113. On 2nd February 2002, the respondent addressed a letter to the petitioner and alleged that the respondent was entitled for deemed export benefits under Chapter X of the EXIM Policy and was

liable for deemed export benefits under clause 10.2(d) of the EXIM Policy. In the said letter, the respondent conveyed that since the subject project was now no longer being funded by the Asian Development Bank, the respondent proposed that in order to maintain equity, the clause 10.2(g) of the EXIM Policy may be considered and necessary certificate be issued to the respondent.

114. On 2nd April 2002, the petitioner addressed a letter to the 53 arbp-868.16(j).doc respondent and enclosed various documents in respect of the Essentiality Certificate and requested the respondent to take necessary action in terms of clause 26.2 of the Conditions of Particular Application and addendum so as to ensure timely clearance of materials from customs. The respondent vide their letter dated 3rd April 2002 to the petitioner enclosed copies of formats of Certificates for information of the petitioner and for necessary action. The respondent, however, deleted the portion reading as "agreement of which provides for tender evaluation without including customs duty and the import content of the order is Rs. _____ (figures in words) _____."

115. On 8th October 2002, the respondent addressed a letter to the petitioner and submitted various details and submitted that the Essentiality Certificate was required to be revised and requested the petitioner to forward the said proposal to the Ministry for approval. The petitioner accordingly forwarded a revised Essentiality Certificate to the respondent on 6th December 2002.

116. It is submitted by the learned senior counsel for the petitioner that the first arbitration meeting was held on 24 th December 2004. The respondent addressed a letter to the Engineer on 5 th January 2005 raising a claim for the first time for Rs.7,85,66,365/- towards excise duty benefit. He submits that the said claim was addressed to the Engineer for the first time after passing an order by the Supreme Court and thus was clearly beyond the scope of reference and was without complying with the procedure under clauses 67.1 to 67.3 of the General Conditions of Contract.

117. It is submitted by the learned senior counsel that though 54 arbp-868.16(j).doc there was some ambiguity resulted from clause 2.0 of the Preamble to the Bill of Quantities which provided that rates and prices would be inclusive of certain items other than customs duty, clause 5.2 of the General Conditions of Contract as amended by clause 5.2 of the Special Conditions of Contract, specified priority of Contractual documents, the provisions of the Letter of Acceptance would prevail in case of such alleged discrepancies in the Preamble to the Bill of Quantities. He submits that in any case such discrepancies were never raised by the respondent before the Engineer nor before the learned arbitrator.

118. It is submitted that even the learned arbitrator did not render any reasons which according to him, would have justified disregarding the other documents of higher priority and grant primacy to the Bill of Quantities. It is submitted by the learned senior counsel that under clauses 2.00 and 6.00 of the Detailed Letter of Acceptance dated 28 th September 2000, it was explicitly made clear that the bid prices to be submitted by the petitioner to the respondent were to be inclusive of customs duty and excise duty and thus the claim for reimbursement for deemed export benefit and for payment of customs duty was clearly prohibited under the terms of Contract and was not arbitrable.

119. It is submitted that the learned arbitrator, however, erroneously and contrary to the provisions of the contract came to the conclusion that price bids were submitted by the respondent on the basis of Notification bearing Nos.108/95 and 84/97 and that the respondent had altered their position to their detriment. He submits that these findings of the learned arbitrator are ex facie contrary to the contractual clauses and the extent to EXIM Policy and shows perversity and patent 55 arbp-868.16(j).doc error on the face of the award. He submits that the findings of the learned arbitrator that the EXIM Policy made it clear that the respondent would have been entitled to Excise and customs Duty drawback in the event of project being an Asian Development Bank funded project is totally perverse and contrary to the provisions of the contract.

120. It is submitted by the learned senior counsel for the petitioner that the respondent was fully aware and was made clear under the provisions of the contract that their bid was inclusive of Excise and Customs duties and accordingly in their sub-contract awarded to the Sub-contractor, similar provision was inserted by the respondent. There was thus no ambiguity in the line of events that the price bid was inclusive of Excise and Customs duty.

121. It is submitted that the learned arbitrator has totally overlooked this crucial aspect in the impugned award. He submits that the petitioner had only assisted the respondent in obtaining Essentiality Certificate and had not agreed for reimbursement of any customs duty or excise duty attracted on various materials and other items required for use in the project. The learned arbitrator did not even consider the documents of sub-contract executed by the respondent to find out that both the parties were ad-idem that the petitioner was not liable to reimburse the payment of Excise and Customs Duty and the same was included in the price bid submitted by the respondent.

122. In so far as the issue of jurisdiction raised by the learned 56 arbp-868.16(j).doc senior counsel for the petitioner in respect of this claim is concerned, Mr.Khambatta, learned senior counsel for the respondent submits that admittedly the petitioner had not raised an issue of jurisdiction regarding this claim before the learned arbitrator under Section 16 of the Arbitration Act and thus cannot be allowed to raise this issue across the bar and such objection is deemed to have been waived under Section 4 of the Arbitration Act. He submits that the petitioner has not raised this ground even in this arbitration petition filed under Section 34 of the Arbitration Act and thus cannot be allowed to urge this ground across the bar for the first time at the stage of final hearing of this petition.

123. In support of this submission, learned senior counsel placed reliance on the judgments of the Supreme Court in the cases of Union of India Vs. Pam Development Private Limited, reported in (2014) 11 SCC 366 (paragraph 18) and Bharat Sanchar Nigam Limited and Anr. Vs. Motorola India Private Limited, reported in (2009) 2 SCC 337 (paragraph 39) and the judgment of the Delhi High Court in the case of S.N. Malhotra & Sons Vs. Airports Authority of India & Ors., reported in 2008(2) Arb.LR 76 (Delhi) (paragraph 33).

124. In so far as the issue raised by the petitioner about maintainability of this claim is concerned, it is submitted by the learned senior counsel for the respondent that the learned arbitrator had framed various issues arising out of this claim as Issue Nos.12A, 12B, 12C, 12D and 13 and submits that the learned arbitrator has interpreted various provision of the contract which was within the sole

domain of the learned arbitrator and has rightly arrived at the conclusion that this 57 arbp-868.16(j).doc claim made by the respondent was not contrary to the terms of the contract and was maintainable. He submits that the respondent vide their letters dated 14th April 2003, 2nd June 2003, 11th October 2003, 27th November 2003, 13th January 2004 and 11th October 2004 had made claims for reimbursement of the excise and customs duty paid. He submits that the learned arbitrator has harmoniously read correspondence along with various provisions of the contract and has rightly held that the respondent was not required to include customs duty and excise duty in its quoted rates and prices under the contract. He submits that interpretation of the contract by the learned arbitrator being a possible interpretation cannot be substituted by another interpretation by this Court in this petition under Section 34 of the Arbitration Act.

125. Learned senior counsel for the respondent placed reliance on invitation to Bid dated 24 th September 1999 and would submit that the petitioner had stated clearly in the said document that it had received approval for a loan from the Asian Development Bank towards the cost of subject project and the bidding was open to all prequalified bidders from eligible source countries of Asian Development Bank. He submits that the petitioner had represented in clause 2.1 thereof that it had received the loan from Asian Development Bank for the subject project and its intention to apply part of the proceeds of the loan for eligible payment for the subject contract in question.

126. It is submitted that the reference to the customs duty in the contact does not detract from the statutory exemption then available for customs and excise duty provided that the project was funded by a loan from the Asian Development Bank. It is submitted by the learned 58 arbp-868.16(j).doc senior counsel that under various provisions of the contract relied upon by the petitioner, the onus was cast on the respondent-contractor of ascertaining the applicability of duties and other levies on the part of the bidder and to price their bid suitably based on the applicable law at 28 days prior to the deadline for submission of their bids. He submits that the bidder was to include customs duty if at all payable under the contract and to the extent payable which could be anywhere between zero and the tariff rate and thus the words "payable under the contract"

> were required to be construed accordingly. He submits that since as of 28 days prior to the submission of the price bid, custom and excise duty were exempted by Notification No.108/95 dated 28 th August 1995 and Notification No.84/97 dated 11th November 1997 which were prevailing at the time of price bid and under those two notifications, the bidder was not required to factor excise and custom duty in its bid, the respondent was not bound to include the factor of payment of excise and custom duty in their bid and the same was separately payable by the petitioner.
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> He submits that all the provisions of the contract are to be harmoniously construed and read as a whole. In support of this submission, learned senior counsel placed reliance on the judgment of the Supreme Court in the case of Bank of India Vs. K. Mohandas, reported in (2009) 5 SCC 313 and in particular paragraph 31 thereof.
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> 127. It is submitted by the learned senior counsel that since it was the decision of the petitioner to cancel the Asian Development Bank funding for the project, there was

loss of exemption from customs and excise duty which caused loss and damage to the respondent. He submits that the respondent had submitted their bid on 59 arbp-868.16(j).doc the basis of the provisions of the contract and representation made therein, however, the contract bid and rates became irrelevant on account of loss of exemption from custom and excise duty due to the reasons solely attributable to the petitioner. The respondent was thus entitled to seek compensation from the petitioner on this ground.

128. It is submitted that the respondent had altered their position to its detriment in view of the representation made by the petitioner and the respondent having altered their position based on such representation to its detriment. He submits that principles of promissory estoppel apply and to bind the petitioner for its representations. In support of this submission, learned senior counsel for the respondent placed reliance on the judgments of the Supreme Court in the cases of M/s.Tarapore & Co. Vs. Cochin Shipyard Ltd. reported in AIR 1984 SC 1072 and in particular paragraphs 37 and 38 and M.P. Sugar Mill Co. Ltd. Vs. State of Uttar Pradesh, reported in AIR 1979 SC 621 and more particularly paragraphs 7 to 10, 19, 24, 27, 28 and 33 thereof.

129. In so far as the submission of the learned senior counsel for the petitioner that the Bill of Quantities was the document with least priority and in view of clause 5.2 of Conditions of Particular Application, Letter of Acceptance would prevail is concerned, it is submitted by the learned senior counsel for the respondent that the petitioner has not raised this issue in this petition filed under Section 34 of the Arbitration Act and also did not raise this issue before the learned arbitrator and thus cannot be allowed to raise this issue across the bar. He submits that in any event, it was the sole domain of the learned arbitrator to interpret the terms of the contract and to arrive at a conclusion as to which 60 arbp-868.16(j).doc provision would prevail. It is submitted that in any event, deeming provision of Letter of Acceptance and more particularly clause 6 thereto has to be read conjointly with the provisions of clause 26.2 and cannot read in isolation. He submits that reliance placed on minutes of pre-bid meeting on this issue by the petitioner is totally misplaced.

130. It is submitted by the learned senior counsel that the respondent has not claimed or derived any rights from the Loan Agreement between the petitioner and the Asian Development Bank in so far as this claim is concerned or otherwise. He submits that this claim is not under the Loan Agreement but had arisen out of the fact that the petitioner having taken a loan from the said Asian Development Bank which in turn entitled to apply for certain fiscal benefits under Notification Nos.108/95 dated 28th August 1995 and 84/97 dated 11 th November 1997. The claim made by the respondent arose in respect of denial of fiscal benefits of the respondent which could be availed of due to cancellation of the loan by the petitioner after awarding the contract to the respondent.

131. It is submitted that the learned arbitrator has considered all these crucial facts and has rightly awarded the claim made by the respondent. It is submitted that in view of the provisions contained in clause 2 of preamble to the Bill of Quantities, the respondent was not required to include the custom duties for materials to be permanently incorporated into the works. He submits that under clause 26.2 of the Conditions of Particular Application, the respondent was not required to factor the custom duty in its price bid.

132. It is submitted by the learned senior counsel that EXIM 61 arbp-868.16(j).doc policy does not supersede or affect the unqualified provisions of the two statutory notifications relating to customs duty and excise duty issued under the provisions of the Customs Act and the Central Excise and Salt Act, 1944. It is submitted by the learned senior counsel that the respondent had always claimed exemption under the provisions of those two statutory notifications in respect of supply of all goods to the Asian Development Bank Aided Project. Since the petitioner had cancelled the said loan, the respondent had addressed a letter dated 2 nd February 2002 seeking reliefs under clause 10.2(g) of EXIM policy on an equitable basis whilst maintaining its entitlement under clause 10.2(d) of the EXIM policy.

133. In so far as the submission of the learned senior counsel that the respondent had applied for Essentiality Certificate and the petitioner had assisted the respondent for availing of such certificate is concerned, it is submitted by the learned senior counsel that the respondent had applied for Essentiality Certificate after cancellation of Asian Development Bank finance by the petitioner in respect of project in question and with a view to mitigate the loss suffered due to non- availability of the custom duty exemption. He submits that the claim raised by the respondent before the learned arbitrator was for reimbursement or compensation on the basis that the respondent would have been entitled to the exemption if the petitioner would not have cancelled the Asian Development Bank loan.

134. Learned senior counsel placed reliance on the work orders dated 16th February 2001 and 26th February 2001 issued in favour of sub-contractor of the respondent by the respondent and would submit 62 arbp-868.16(j).doc that it was specified in those two work orders that a concessional rate of customs duty could be attracted which would mean anywhere between zero rate and full tariff rate since the project in question was Asian Development Bank funded project. Reliance is placed on the words "concessional rate" as per Webster's Dictionary which means "the act of conceding" or "a grant." He submits that the petitioner had suppressed the fact that the respondent was not intending to avail of the Asian Development Bank loan for the project. The respondent was under

impression that the petitioner was itself availing the Asian Development Bank loan and therefore, the work orders issued to the sub-contractor of the respondent had referred to "a likelihood of obtaining concessions on the customs duties."

135. In support of his submission that if the interpretation of the contract by the learned arbitrator is a possible interpretation, the same cannot be substituted by another interpretation by this Court, learned senior counsel for the respondent placed reliance on the following judgments of the Supreme Court:-

> (i) National Highways Authority of India Vs. M/s.J.S.C. Centrodorstroy, reported in AIR 2016 SC 1965 (paragraph 11),
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> (ii) National Highways Authority of India Vs. ITD Cementation India Limited, reported in (2015) 14 SCC 21 (paragraphs 21, 22, 24 and 25),
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> (iii) Bank of India & Anr. Vs. K. Mohandas & Ors. along with other connected matters, reported in (2009) 5 SCC 313 (paragraphs 28, 31 and 32)
>
> (iv) M/s.Tarapore & Co. Vs. Cochin Shipyard Ltd. (supra) 63 arbp-868.16(j).doc (paragraphs 37 and 38).

136. Mr.Aney, learned senior counsel for the petitioner in rejoinder submits that the petitioner never made any representation to the respondent that they were entitled to the benefits of deemed export and customs duty. He submits that the petitioner had consistently maintained from the date of such issuance of tender condition and all throughout that the respondent must quote its rate inclusive of customs duty. He submits that it is not the case of the petitioner that interpretation of contract by the learned arbitrator is not a possible interpretation but it is the case of the petitioner that the learned arbitrator has awarded this claim by overlooking and deciding contrary to those relevant provisions of the contract such as clause 26.2, minutes of pre- bid meeting and more particularly answer to the bidder's query no.4, detailed Letter of Acceptance etc.

137. It is submitted by the learned senior counsel for the petitioner that admittedly the respondent had made this claim to the Engineer for the first time on 5th January 2005 i.e. after passing of the order dated 6th December 2004 by the Supreme Court. The said claim was admittedly not arising out of any pending disputes or differences. Learned senior counsel for the petitioner fairly invited my attention to the judgment of the Supreme Court in the case of M/s.MSP Infrastructure Ltd. Vs. M.P. Road Development Corporation Ltd. reported in 2015 (1) All MR 952 (SC) and in particular paragraphs 1 to 8 and would submit that even if on the basis of the said judgment of the Supreme Court, the petition not having raised an issue of jurisdiction under Section 16 before the learned arbitrator which may amount to 64 arbp-868.16(j).doc waiver under Section 4 of the Arbitration Act, the petitioner is still entitled to challenge the said award under Section 34(2)(b) of the Arbitration Act on the ground that the Court if finds that the arbitral award is in conflict with the public policy of India. i.e. if the award is contrary to the terms of the contract under Section 28 of the Arbitration Act, the Court can set aside such an award on its own even if the petitioner had not raised an objection under Section 16 of the Arbitration Act or had not urged that ground in the arbitration petition.

Learned senior counsel for the petitioner distinguishes the judgments referred to and relied upon ig by the learned senior counsel for the respondent on the ground that the facts before the Court in those judgments were totally different and clearly distinguishable in the facts of this case.

138. In so far as the judgment of the Supreme Court in the case of National Highways Authority of India Vs.M/s.J.S.C. Centrodorstroy (supra) relied upon by the learned senior counsel for the respondent on the ground that in this case, the learned arbitrator had not interpreted the provisions of the contract but has totally ignored and decided contrary to the provisions of the contract.

139. Mr.Balsara, learned counsel for the respondent in sur-

rejoinder submits that if the interpretation of the interaction between Sections 4, 16, 28 and 34 as canvassed by the learned senior counsel for the petitioner is accepted, it would render the provisions of Sections 4 and 16 of the Arbitration Act otiose. He submits that deemed export benefit was already raised by the respondent prior to 6 th December 2004 when the Supreme Court had passed an order. It is submitted by the 65 arbp-868.16(j).doc learned counsel that in the impugned award, the learned arbitrator has considered the provisions of clause 2.1, 14.3 of Instructions to Bidders, detailed Letter of Acceptance dated 28th September 2000 and clause 26.2 of the Condition of Particular Application while rendering his finding in respect of issue no.12A. Reliance is placed on paragraphs 94C, 94D, 96, 99 and 100 of the impugned award.

REASONS AND CONCLUSIONS ON THE ISSUE OF JURISDICTION AND FOR REIMBURSEMENT OF DEEMED EXPORT AND CUSTOMS DUTY :-

> 140. Learned arbitrator has framed as issue nos.12A to 12D and 13 in so far as this claim for reimbursement of deemed export and customs duty is concerned. Learned arbitrator has discussed this claim in paragraphs 94 to 114 of the impugned award.
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> 141. In paragraph 102 of the impugned award, the learned arbitrator has held that some of the provisions referred to in the earlier paragraph of the award showed that in fact the petitioner had made a representation that the contract was an Asian Development Bank funded project. The price bid submitted by the respondent was in fact based on eligibility to structure, the prices excluding excise duty and availing of customs duty benefits on imported component of goods intended to be used in the project in question by the respondent herein.

Learned arbitrator has held that the petitioner subsequently changed their pattern of funding disentitling the respondent to avail of the benefits of the notifications whereby the respondent would be entitled to excise 66 arbp-868.16(j).doc duty and customs duty benefits.

142. In paragraph 104 of the impugned award, it is held by the learned arbitrator that the correspondence referred to in the earlier paragraph showed that both the parties had proceeded on the basis of the contract being an Asian Development Bank funded contract. The learned arbitrator rejected the submission of the petitioner that clause 70.3 of the Conditions of Contract of Particular

Application was intended to provide for additional cost which the contractor would incur to the submission of bid that related to increase in taxes and duties apart from the elements mentioned in the cost which would become automatically reimbursable by addition to the contract price.

It is held that both the parties proceeded on the basis the contract being an Asian Development Bank funded contract.

143. In paragraph 106 of the impugned award, the learned arbitrator has held that the notifications dated 28 th September 1995 and 11th November 1997 were in force at the time of submission of the bid.

He held that EXIM Policy makes it clear that the respondent would have been entitled to excise and customs duty drawback in the event of the project in question being an Asian Development Bank funded project. It is held that clauses 24.3, 14.4 and 31.2 relied upon by the petitioner would not assist their case as the same did not show that the respondent would be disentitled to customs and excise duty drawback. Learned arbitrator has accordingly held that the representation was made by the petitioner that the contract was in respect of an Asian Development Bank funded project entitling the respondent to the benefits of exemption from payment of customs and excise duty and that the respondent had 67 arbp-868.16(j).doc tendered its bid on the basis of such representation.

144. In paragraph 111 of the impugned award, the learned arbitrator has held that in view of the representation made by the petitioner to the respondent and the respondent having altered their position to their detriment based on such representation, the same would constitute promissory estoppel and thus the petitioner would be liable to compensate the respondent on account of the petitioner subsequently changing their stand that they would not avail of Asian Development Bank funding as represented to the respondent in the bid documents.

145. In paragraph 114 of the impugned award, in so far as the quantification of the claim of Rs.7,85,66,365.01 made by the respondent is concerned, it is held by the learned arbitrator that the respondent vide their letter dated 5th January 2005 submitted details in 18 annexures to the Engineer which supplies had been linked up to material required for the project in question and it could not be said that the said goods had not been delivered for the project in question. It is held that the respondent had furnished with exactitute the details of payments towards excise as well as customs and had also disclosed supporting documents in their affidavit dated 14th September 2005 and had relied upon several letters in order to substantiate their claim. It is held that since the goods covered in the letter dated 5 th January 2005 had been clearly delivered by the respondent for the project in question and the respondent had paid excise and customs duty in respect thereof, the respondent was entitled to the said amount of Rs.7,85,66,365.01 from the petitioner.

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146. I shall first decide whether the claim for reimbursement of the deemed export and custom duty made by the respondent was beyond the jurisdiction of the learned arbitrator not having been raised before the Engineer nor before the Supreme Court on 6th December 2004. Learned senior counsel

appearing for the parties have addressed this Court not only on the issue of jurisdiction of the learned arbitrator in respect of these two claims but also on merits.

147. In so far as the issue of jurisdiction raised by the petitioner is concerned, the case of the petitioner is that these claims were never raised by the respondent before the Engineer as contemplated under clause 67.1 of the General Conditions of Contract and these claims were also not raised when the order dated 6 th December 2004 was passed by the Supreme Court appointing the learned arbitrator and while referring various disputes/differences and claims to the learned arbitrator for adjudication.

148. Mr.Khambatta, learned senior counsel for the respondent while dealing with the issue of jurisdiction raised by the petitioner in respect of these two claims invited my attention to some of the correspondence referred to aforesaid in support of his submission that the claims were already made by the respondent before the Engineer of the petitioner and/or to the petitioner prior to the date of filing consent terms before Hon'ble Supreme Court. He submits that admittedly not only disputes/differences were referred to the arbitration but also the claims. In my view, Mr.Khambatta, learned senior counsel for the respondent is right in his submission that the respondent had already made these claims prior to the date of filing consent terms before the 69 arbp-868.16(j).doc Supreme Court for reimbursement of deemed export and custom duty and these claims were also referred to the learned arbitrator.

149. Be that as it may, there is no dispute that though the petitioner had filed detailed written statement, admittedly no issue of jurisdiction was raised by the petitioner in respect of these two claims under Section 16 of the Arbitration and Conciliation act, 1996 nor any application raising issue of jurisdiction was made before filing written statement before the learned arbitrator.

150. Mr.Aney, learned senior counsel for the petitioner fairly admitted that no such issue of jurisdiction in respect of these two claims was raised by the petitioner before the learned arbitrator at any stage.

151. The submission of the learned senior counsel for the petitioner in respect of these two claims in so far as the issue of jurisdiction is concerned is that though the objections were not raised by the petitioner regarding jurisdiction of the learned arbitrator under Section 16 of the Arbitration and Conciliation Act, 1996, since the learned arbitrator has not decided these two claims in accordance with the mandatory conditions under clauses 67.1 to 67.3 of the General Conditions of Contract, the award rendered by the learned arbitrator in respect of these two claims was in violation of and in breach of Section 28(3) of the Arbitration and Conciliation Act, 1996 and the impugned award was thus in conflict with the public policy.

152. Mr.Aney, learned senior counsel for the petitioner fairly invited the attention of this Court to the judgment of the Supreme Court 70 arbp-868.16(j).doc in the case of M/s.MSP Infrastructure Ltd. Vs. M.P. Road Development Corporation Ltd. (supra) and submits that the respondent not having raised issue of jurisdiction under Section 16 of the Arbitration and Conciliation Act, 1996 before the learned arbitrator, it may amount to waiver. In my view, once the petitioner admittedly

having not raised an issue of jurisdiction which could have been raised under Section 16 of the Arbitration and Conciliation Act, 1996 in the written statement or by filing a separate application before filing written statement, it amounted to waiver under Section 4 of the Arbitration and Conciliation Act, 1996. In my view, objection regarding alleged non-compliance of mandatory procedure for invoking arbitration agreement is derogable and can be waived under Section 4 of the Arbitration and Conciliation Act, 1996.

153. In my view, the issue of jurisdiction cannot be allowed to be raised on the ground that there was alleged non-compliance on the part of the respondent of the mandatory conditions under clauses 67.1 to 67.3 of the General Conditions of Contract and that the learned arbitrator decided contrary to clauses 67.1 to 67.3, in view of the issue of jurisdiction based on non-compliance of the terms and conditions of the contract touching the issue of jurisdiction not having been raised by the petitioner under Section 16 of the Arbitration and Conciliation Act, 1996. In my view, no issue of jurisdiction thus can be raised indirectly on the ground that the learned arbitrator decided contrary to the terms of the arbitration agreement. There is thus no substance in this submission of the learned senior counsel.

154. I shall now deal with the issue whether these two claims were permissible under the terms of the contract entered into between 71 arbp-868.16(j).doc the parties and whether the learned arbitrator has allowed these claims contrary to the terms of the contract other than the provisions of clauses 67.1 to 67.3 of the General Conditions of Contract.

155. A perusal of clause 2.1 of Section I of Instructions to Bidders which was admittedly forming part of Volume I of Tender Documents indicates that it was provided that although the source of funding was the Asian Development Bank, no party other than the petitioner would derive any rights from the loan. Clause 14.3 of Section I of Instructions to Bidders specifically provided that the Customs duty and Excise duty would be included in the rate and prices and the total bid price. The evaluation and comparison of bids shall be made accordingly. Clause 14.4 of Section I of Instructions to Bidders provided that the bidders were required to take into consideration the payment of Customs duty and Excise duty 28 days prior to the dead line for submission of bids. Clause 70.3 of Conditions of Particular Application specifically provided that in case of change of law leading to increase in duties and if such change occurred in 28 days prior to submission of the final price bid, then the respondent would be indemnified by the petitioner for increased cost.

156. Clause 26.2 of Special Conditions of Contract provided that the customs duty was applicable as per Project Import Chapter 9801.00 read with Notification No.11-97, Serial No.226 (vi) and Notification No.23-98 of Customs Tariff, Government of India. Clause 2.0 of the Preamble to the Bill of Quantities provided that the rates and prices shall include for various items including Excise Duty, duties etc. (other than Customs Duty for materials to be permanently incorporated into 72 arbp-868.16(j).doc works) and for compliance with the Conditions of Contract and Conditions of Particular Application etc.

157. Clause 5.2 of the General Conditions of Contract, Part II provides as to what would prevail in case of any ambiguity in various contractual documents. There is no dispute that the Priced Bill of

quantities is at serial no.8 of the list of priority provided under clause 5.2 of the General Conditions of Contract. It was the case of the petitioner that that there was inconsistency in case of Priced Bill of Quantities and preamble thereto with the Letter of Acceptance and other documents at serial nos.1 to 7 as per clause 5.2 of the General Conditions of Contract and thus what was stated in Letter of Acceptance and other documents which were above at serial no.8 would prevail.

158. The minutes of the pre-bid meeting indicates that a specific query was raised by one of the bidders about kind of help that would be extended by the petitioner to expedite procuring materials, plant, contractor's equipment, service etc. from sources outside India. The petitioner had specifically clarified in response to the said query raised by one of the bidders that the assistance of the petitioner would be limited to as specified in Sub-clause 26.2 of the Conditions of Contract. It is not in dispute that the said minutes of the said pre-bid meeting were also binding on the parties.

159. A perusal of the record further indicates that the respondent had appointed their sub-contractor in respect of the work awarded to them by the petitioner who were categorically informed that they will 73 arbp-868.16(j).doc have to pay customs duty. The contract entered into between the respondent and their sub-contractor also indicates that price bid was inclusive of customs duty. It is thus clear that the respondent was fully aware that price bid submitted by the respondent was inclusive of customs duty and was not separately payable. Accordingly, the respondent had imposed similar condition in the sub-contract awarded to their sub-contractor.

160. A perusal of the Detailed Letter of Acceptance dated 28 th September 2000 and more particularly clause 6 thereof clearly indicates that the customs duty on materials to be imported and permanently incorporated into the works, shall be deemed to be included in the rates and prices quoted by the respondent.

161. A perusal of the letter addressed by the respondent on 16th February 2001 to their sub-contractors and the work order issued by the respondent to their sub-contractors also included similar provision indicates that the rates quoted by the sub-contractors should be inclusive of Customs duty. The said provisions were similar to the terms and conditions in the contract between the petitioner and the respondent.

162. In response to one of the letters addressed by the petitioner raising a query as to how the respondent was entitled to refund of excise duty paid on inputs used in the Project from DGFT with the supporting documents recording that the contract awarded to the respondent was not for supply of goods, the tender evaluation was carried out including the customs duty, the respondent vide their letter 74 arbp-868.16(j).doc dated 6th November 2001 alleged that since the project was aided by multinational funding agencies, they were entitled to the benefit of refund of Central Excise Duty.

163. The petitioner vide their letter dated 9th January 2002 denied that the contract awarded to the respondent allowed benefit to the respondent for deemed export project under Chapter X of EXIM Policy on the ground that the project was to be funded by Asian Development Bank. The petitioner also made it clear that the offer submitted by the respondent did not stipulate any such requirement. The petitioner also invited the attention of the respondent to clause 14.3 of Instructions of Bidders

and clause no.2 of Preamble to Bill of Quantities and made it clear that rates and prices quoted by the respondent were inclusive of all taxes and duties whatsoever including the excise duty. The Finance Manager of the respondent had agreed to re-examine the issue.

164. It is not in dispute that the respondent thereafter requested the petitioner to make an arrangement for Essentiality Certificate from the Ministry. In the said letter dated 16th January 2002, the respondent requested the petitioner to be consignee in the matter of permanent materials to be imported by the respondent at their cost (covering payments of materials by letter of credit) including freight insurances, taxes, custom duty and any other charges whatsoever payable in connection with the import and its incorporation in the work. In the said letter, the respondent confirmed that the petitioner becoming consignee, it would not absolve the respondent from any of the obligations and 75 arbp-868.16(j).doc would not alter the payment terms under the contract dated 19 th September 2000 awarded to the respondent by the petitioner.

165. The respondent also gave an undertaking on 16 th January 2002 to abide by all the obligations, responsibilities etc. as if the respondent themselves were the consignees and agreed to indemnify the petitioner for such consequences arising out of the petitioner becoming the consignee. The respondent also made it clear that the responsibilities of the petitioner would be the same as under the contract and would be limited to issuing required recommendatory letters for obtaining such permits and licenses and the same would not in any way vitiate their contractual liabilities and the obligations cast upon the respondent under the contract. Based on such undertaking given by the respondent, the petitioner took various steps to grant Essentiality Certificate.

166. A perusal of the letter dated 2nd February 2002 addressed by the respondent to the petitioner clearly indicates that the respondent conveyed to the petitioner that since the subject project was now no longer being funded by the Asian Development Bank, the respondent proposed that in order to maintain equity, the clause 10.2(g) of the EXIM Policy may be considered and necessary certificate be issued to the respondent. It is thus clear beyond reasonable doubt that various terms and conditions referred to aforesaid forming part of the contract clearly indicated that all taxes and duties including customs and excise duties were included in the bid price quoted by the respondent and was not separately payable. Both the parties were ad-idem on this issue. The respondent had demanded payment based on equity and contrary 76 arbp-868.16(j).doc to the terms and conditions of the contract entered into between the parties.

167. In my view, even if there was any ambiguity resulted from clause 2.0 of the Preamble to the Bill of Quantities, in view of clause 5.2 of the General Conditions of Contract as amended by clause 5.2 of the Special Conditions of Contract, specified priority of Contractual documents, the provisions of the Letter of Acceptance would prevail over the Preamble to the Bill of Quantities.

168. A perusal of the award on this claim indicates that the learned arbitrator has allowed this claim on the ground that price bids were submitted by the respondent on the basis of Notification bearing Nos.108/95 and 84/97 and that the respondent had alleged to have altered their position to their detriment. In my view, the finding of the learned arbitrator is ex facie contrary to the aforesaid provisions of the contract which clearly provided that the price bid required to be submitted by the

respondent was inclusive of Excise and Customs duties and thus claim for reimbursement of deemed export benefit and for payment of customs duty was clearly prohibited under the terms of the contract. In my view, the impugned award, in so far as this claim is concerned, shows perversity and patent illegality.

169. In so far as the submission of the learned senior counsel for the respondent that the learned arbitrator has harmoniously read correspondence along with various provisions of the contract holding that the respondent was not required to pay Excise and Customs duties 77 arbp-868.16(j).doc in its quoted rates and price in the contract and the interpretation of the learned arbitrator being a possible interpretation cannot be substituted by another interpretation by this Court is concerned, in my view, the learned arbitrator cannot decide contrary to the terms of the contract by interpreting the terms of the contract. In my view, the interpretation of the learned arbitrator in this case, in so far as this claim is concerned, is ex facie contrary to the terms of the contract and is not a possible interpretation.

170. In so far as the submission of the learned senior counsel for the respondent that since under the terms and conditions of the contract, the respondent was not liable to pay any customs duty at all on import being made, the question of the respondent including the customs duty in the price bid did not arise is concerned, in my view, there is no merit in this submission of the learned senior counsel. The provision of the contract including the notifications referred to by the learned arbitrator in the impugned award made it clear that the customs duty was payable on import of various items. In my view, the learned arbitrator cannot interpret a contract in such a way which would violate the terms and conditions of the contract. Since the learned arbitrator has decided contrary to the terms and conditions of the contract, this Court has ample power to set aside such arbitral award. The judgment of the Supreme Court in the case of Bank of India Vs. K. Mohandas (supra) does not assist the case of the respondent.

171. In my view, even if the petitioner had decided not to avail of Asian Development Bank funding for the project, the respondent 78 arbp-868.16(j).doc was still bound by the terms and conditions of the contract. The respondent did not make any claim for damages on account of the petitioner not having availed of Asian Development Bank funding for the project. In my view, the learned arbitrator could not have decided on the basis of equity and contrary to the terms and conditions of the contract. In these circumstances, in my view, the judgments of the of the Supreme Court in the cases of M/s.Tarapore & Co. Vs. Cochin Shipyard Ltd. (supra) and M.P. Sugar Mill Co. Ltd. Vs. State of Uttar Pradesh (supra) would not assist the case of the respondent at all. It is not in dispute that even after decision of the petitioner not to avail of Asian Development Bank funding for the project, the respondent had applied for Essentiality Certificate and had made it clear beyond reasonable doubt that the provision of the contract would be still binding upon the respondent and indemnified the petitioner for any claim even if the petitioner had issued necessary certificate for availing Essentiality Certificate by the respondent. In my view, there is no merit in the submission of the learned senior counsel for the respondent that the claim made by the respondent before the learned arbitrator was for reimbursement or compensation on the basis that the respondent would have been entitled to exemption if the petitioner would not have cancelled the Asian Development Bank loan. It was clearly provided in the contract that although the source of funding was the Asian

Development Bank, no party other than the petitioner would derive any rights from loan.

172. Various judgments relied upon by the learned senior counsel for the respondent in support of the submission that since interpretation 79 arbp-868.16(j).doc of the learned arbitrator on the terms and conditions of the contract was a possible interpretation and cannot be substituted by the another interpretation by this Court, there is no dispute about the propositions of law laid down in those judgments. However in the facts of this case, in my view, the interpretation of the learned arbitrator is contrary to the terms of the contract and not being a possible interpretation, interference with such so called interpretation of the learned arbitrator is permissible under Section 34 of the Arbitration and Conciliation Act, 1996. A perusal of the impugned award on this issue indicates that the learned arbitrator has totally overlooked the aforesaid provisions of the contract which were binding not only on the parties but also on the learned arbitrator. The learned arbitrator has decided contrary to the terms of the contract.

In my view, the award of the learned arbitrator on this claim thus deserves to be set aside.

173. A perusal of the paragraph 114 of the impugned award, in so far as the quantification of the claim of Rs.7,85,66,365.01 made by the respondent is concerned, the petitioner had disputed the quantification of claim and thus the learned arbitrator even otherwise could not have allowed the said claim without proof of the payment of the custom duty etc. The award is based on no evidence and thus the award in respect of this claim deserves to be set aside on this ground also.

CLAIMS FOR COMPENSATION MADE BY THE RESPONDENT UNDER SEVEN HEADS

174. Learned arbitrator has decided these claims under Issue nos.3, 4, 5 and 8. The respondent had applied for extension of 7711 80 arbp-868.16(j).doc days under various heads before the Engineer. The Engineer, however, had granted extension of 177 days. It is the case of the petitioner that the said period of 177 days extension did not include a period of 36 days extension which was never brought for consideration of the Engineer. The respondent, however, ultimately claimed extension of 1805 days only in their statement of claim filed before the learned arbitrator. Learned arbitrator in the impugned award has granted extension of 1437 days.

175. Learned senior counsel for the petitioner has filed a detailed statement giving break-up of delay before this Court as alleged by the respondent before the learned arbitrator.

176. Learned senior counsel for the petitioner invited my attention to some of the correspondence exchanged between the parties in so far as these claims are concerned and would submit that in so far as the issue no.8 decided by the learned arbitrator in respect of alleged delay concerning obstruction of piling is concerned, the same clearly fell outside the scope of arbitral disputes and was beyond the scope of the order passed by the Supreme Court on 6 th December 2004. He submits that the claim for extension was made by the respondent under various heads. Learned senior counsel submits that the findings of the learned arbitrator in respect of these claims are totally perverse. The award is based on the evidence.

177. It is submitted that in so far as the issue no.3 discussed by the learned arbitrator in respect of delay of 53 days and of 462 days and also the part of issue no.3 in so far as delay of 36 days is 81 arbp-868.16(j).doc concerned, the impugned award rendered by the learned arbitrator is ex facie perverse. It is submitted that the Engineer had rightly awarded extension only for 177 days after considering the facts on record which could not have been increased by the learned arbitrator and that also without disclosing any reason as to why he disagreed with the findings of the Engineer. He submits that the learned arbitrator had not disclosed in the impugned award as to on what basis or on the basis of which documentary or oral evidence or by adopting which method, he had disagreed with the extension of 177 days awarded by the Engineer.

178. Learned senior counsel for the petitioner submits that the respondent had examined Mr.Sanath Kumar as one of their witnesses to prove the disputed documents and also the contents thereof. The said Mr.Sanath Kumar had filed affidavit in lieu of examination of chief on behalf of the respondent. He submits that the respondent had also examined Mr.Sanjeev Agarwal and Mr.P.G.Mandre as their witlessness with regard to specific issue. The said Mr.Sanath Kumar was examined as regards Serial Nos.1, 3, 5, 14, 36, 38 and 47 of Issue Nos.3, 4, 5 and 8.

179. It is submitted that since the said Mr.Sanath Kumar did not remain present for the purpose of cross-examination and had left his evidence midway, the learned arbitrator could not have relied upon the evidence deposed by the said Mr.Sanath Kumar in examination-in-chief or in toto except the admissions made by him. He submits that though the learned arbitrator had given a ruling that the said Mr.Sanath Kumar could not remain present for the entire cross-examination and his evidence would not be considered, learned arbitrator however has placed 82 arbp-868.16(j).doc reliance upon the evidence led by Mr.Sanath Kumar which was not permissible in law. Claims for damages/ compensation thus made by the respondent and in support of those claims, the said Mr.Sanath Kumar was examined by the respondent had not been proved. The claims for damages thus awarded by the learned arbitrator by relying upon the evidence of Mr.Sanath Kumar deserves to be set aside.

180. It is submitted by the learned senior counsel that the learned arbitrator did not pass any order directing the said Mr.Sanath Kumar to remain present for the purpose of cross-examination. The petitioner, therefore, had filed an application under Section 27 of the Arbitration Act before this Court for issuance of witness summons upon the said Mr.Sanath Kumar. The said application however was rejected by this Court on the ground that the learned arbitrator himself had not made such application or had not granted liberty to the petitioner to apply for assistance of this Court under Section 27 of the Arbitration Act. He submits that the said Mr.Sanath Kumar had also given his evidence on the issue of piling. He led evidence on the allegations of delay of 53 days dealt with under Issue No.3. The learned arbitrator has allowed the extension of 53 days on account of delay alleged by the respondent relying upon the evidence of Mr.Sanath Kumar which is ex-facie perverse.

181. Learned senior counsel for the petitioner submits that even in respect of extension of 34 days, learned arbitrator referred to and relied upon the evidence of Mr.Sanath Kumar inspite of objection specifically raised by the petitioner and that also without dealing with 83 arbp-868.16(j).doc the said objection raised by the petitioner. He submits that though the said Mr.Sanath Kumar was not

available in cross-examination, the learned arbitrator marked various documents and more particularly Jackup reports which was sought to be proved by the respondent through the said witness Mr.Sanath Kumar. It is submitted by the learned senior counsel that the learned arbitrator could not have placed reliance upon the purported Daily Shift Reports/Daily Survey Reports/Daily Progress Reports also which was sought to be proved through the said witness Mr.Sanath Kumar.

182. It is submitted that in any event the award is contrary to the evidence on record and particularly, the answers given by the said Mr.Sanath Kumar including the answer to question no.93. He submits that the respondent had not proved either by way of documentary evidence or oral evidence, their entitlement in respect of the claim for extension of 53 days. The learned arbitrator without any documentary evidence or oral evidence on record or without any basis held that the alleged delay of 53 days was on account of incorrect data alleged to have been furnished by the Engineer of the petitioner.

183. Learned senior counsel for the petitioner submits that the extension of 53 days granted by the learned arbitrator is also contrary to Clause 14.1 of the contract which mandated that the contractor shall furnish scheduled period of commencement and completion of the work. He submits that even the said Mr.Sanath Kumar in his evidence had admitted that prior to 17th November 2000, no survey was carried out. He submits that there was thus no delay in respect of the said work attributable on the part of the petitioner.

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184. Learned senior counsel for the petitioner invited my attention to various portions of the cross-examination of other two witnesses who were examined by the respondent to prove the claim for compensation/damages and would submit that conclusion of the learned arbitrator is totally erroneous and contrary to the evidence on record. The finding of the learned arbitrator that the entire time extended by the petitioner from 2nd March 2002 in revising specifications was lost is totally perverse and based on no evidence. He submits that the evidence led by the petitioner is completely ignored by the learned arbitrator.

185. Learned senior counsel for the petitioner invited my attention to page 240 of the arbitration petition and would submit that though the learned arbitrator had given a ruling that the petitioner could rely upon the admissions, if any, of the said Mr.Sanath Kumar in his evidence, though the said Mr.Sanath Kumar had made various admissions during the course of his cross-examination, the learned arbitrator has ignored those admissions made by the said Mr.Sanath Kumar in the impugned award.

186. Learned senior counsel for the petitioner invited my attention to the cross-examination of Mr.Mandre who was examined by the respondent in which the said witness had admitted that the drawings submitted by the respondent were not based on P & ID drawings. Finalization of vendor was not the responsibility of the petitioner but was of the respondent. He submits that ultimately the respondent had supplied pump of the same specifications and thus delay could not be attributable against the petitioner.

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187. It is submitted by the learned senior counsel for the petitioner that the respondent had made claim for delay of 7711 days in the statement of claim, however, had restricted their claim for alleged delay of 1805 days in the written arguments filed before the learned arbitrator. The Engineer had approved the delay of 177 days only. The learned arbitrator, however, has granted compensation and extension in respect of 1437 days as alleged delayed period not attributable on the part of the respondent.

188. Learned senior counsel invited my attention to paragraphs 76 to 79 of the impugned award which recorded the conclusion drawn by the learned arbitrator in respect of the claim for compensation under Issue No.7. It is submitted by the learned senior counsel that save and except two items i.e. Rs.8,34,68,833/- in respect of the loss alleged to have been incurred by the respondent on account of opportunity cost of Rs.21,07,655/- and in respect of compensation for reimbursement of price adjustments, the learned arbitrator did not give any findings in respect of five other components totalling to Rs.44,18,15,614/- and awarded the entire claim of Rs.52,73,92,129.01 in favour of the respondent. He submits that the entire award in respect of the claim for compensation shows perversity, arbitrariness, non-application of mind on the part of the learned arbitrator and shows patent illegality.

189. It is submitted by the learned senior counsel that the claim for loss of opportunity was not even referred for adjudication of the Engineer as contemplated under Clause 67.3 of the General Conditions of Contract as well as Conditions of Particular Application. He submits 86 arbp-868.16(j).doc that the said claim was thus without jurisdiction. It is submitted that even if any delay was attributable on the part of the petitioner, the learned arbitrator could not have allowed the claim for compensation unless the respondent would have proved the actual loss suffered by them due to such alleged delay attributable on the part of the petitioner. He submits that loss of opportunity was neither made before the Supreme Court nor before the Engineer. He submits that the compensation awarded by the learned arbitrator is not mathematically deduced. The learned arbitrator has not disclosed in the impugned award as to how the alleged delay on the part of the petitioner was translated into money.

190. Learned senior counsel invited my attention to the pages 192 to 198 of the arbitration petition i.e. part of the award in respect of the claim for compensation and would submit that in those paragraphs, the learned arbitrator has only recorded the submissions of both the parties.

The learned arbitrator, however, has not dealt with those submissions while drawing a conclusion by recording reasons or otherwise. He submits that the learned arbitrator has allowed the claim for loss of opportunity @10% of the average turnover of the respondent by accepting the figures of such alleged turnover mentioned in the certificate alleged to have been issued by the Chartered Accountant appointed by the respondent which certificate was not proved by the respondent.

191. It is submitted by the learned senior counsel that the claim for compensation was not supported by any contemporaneous documents as contemplated under Clause 53.4 read with Clauses 53.3 and

53.2 of 87 arbp-868.16(j).doc Section 2 of the Conditions of Contract, Part-I of the General Conditions of Contract forming part of the contract. He submits that to support the claim for compensation of Rs.52,73,92,129.01 made by the respondent, the respondent had relied upon a letter dated 4 th January 2005 addressed by the respondent after the appointment of the learned arbitrator for adjudication of disputes pursuant to the order dated 6 th December 2004 passed by the Supreme Court and also relied upon the alleged certificate dated 3rd January 2005 issued by Mr.J.C. Bhatt, Chartered Accountant allegedly certifying the turnover of the respondent without any basis, the alleged letter dated 3 rd December 2004 alleged to have been addressed by M/s.Universal Surveyors and Adjustors Pvt. Ltd. inter alia showing the depreciation written down value and the alleged deployment of machinery. The respondent also placed reliance on the purported break up of manpower cost upto 16 th January 2003 issued by Mr.J.C. Bhatt, Chartered Accountant vide his letter dated 12th April 2005.

192. Learned senior counsel submits that none of the above referred documents relied upon by the respondent were admitted by the petitioner. He submits that though the respondent had not proved the existence and contents of those documents including the alleged certificate issued by the Chartered Accountant and the Surveyor, the learned arbitrator heavily placed reliance upon those disputed and unproved documents. He submits that the award is in gross violation of principles of natural justice and the principles of Evidence Act which are applicable to the arbitration proceedings. He submits that the aggregate claim of Rs.52,73,92,129.01 made by the respondent and awarded by the learned arbitrator are not at all supported by any 88 arbp-868.16(j).doc evidence or proof. He submits that in any event, none of those claims or compensation were sustainable on account of non-compliance of the mandatory obligations on the part of the respondent under Clauses 53.2 and 53.3 of Section 2 of the Conditions or Contract, Part-II of the General Conditions of Contract read with Clause 67.3 thereof.

193. In so far as the claim "on account of Reimbursement of Equipment Cost- Rs.25,06,56,010/-" awarded by the learned arbitrator is concerned, it is submitted by the learned senior counsel that no finding has been rendered by the learned arbitrator in respect of this claim at all while allowing the said claim in the aggregate amount of compensation of Rs.52,73,92,129/-. It is submitted that in support of this claim, the respondent had placed reliance on the alleged detailed break up of the claim contained in their letter dated 4th January 2005, their written submissions containing calculations for monthly hire charges based on assumptions and without any supporting proof, the alleged assessment report of the Surveyor, the alleged documents at Serial No.1311 to 1313 of the affidavit of documents dated 10th August 2005 filed by the respondent before the learned arbitrator and some of the documents under Volume GG regarding some of the equipment allegedly taken on hire.

194. It is submitted by the learned senior counsel that none of those documents were admitted by the petitioner. He submits that the respondent had not proved the existence and contents of those documents, the learned arbitrator however relied upon those unproved and disputed documents while allowing the said claim. He submits that the respondent had failed to produce and prove before the learned arbitrator that they 89 arbp-868.16(j).doc had maintained and produced for the perusal of the Engineer any contemporary records as required to be produced under the provisions

of the Contract in support of this claim. No such alleged contemporary records were produced and proved even before the learned arbitrator by the respondent.

195. It is submitted by the learned senior counsel that though the respondent had admittedly not examined the Surveyor who alleged to have submitted the assessment report which was relied upon by the respondent before the learned arbitrator which alleged documents were within the knowledge of the respondent and which alleged report was based on the data alleged to have been given by the staff of the respondent, the learned arbitrator strongly placed reliance on the alleged Surveyor's report in violation of principles of natural justice and principles of Evidence Act. The respondent had not produced any proof of actual deployment of the machinery and equipment and date of purchase. He submits that if the Surveyor would have been examined as one of the witnesses by the respondent to prove the contents and existence of the said alleged report, the petitioner could have cross- examined him.

196. Learned senior counsel invited my attention to pages 195 of the arbitration petition i.e. forming part of the award which records that the evidentiary value of the certificate of the respondent was disputed between the parties. He submits that though admittedly the said Chartered Accountant was not examined as witness by the respondent, the learned arbitrator still heavily placed reliance on the said alleged certificate 90 arbp-868.16(j).doc issued by the Chartered Accountant while allowing the claim for compensation made by the respondent.

197. Learned senior counsel placed reliance on Section 19(3) of the Arbitration and Conciliation Act, 1996 and would submit that even under the said provision, the learned arbitrator could not have overlooked the procedure agreed by and between the parties under Clause 53.4 of the General Conditions of Contract and was bound to decide in accordance with the provisions of the Contract. He submits that except the certificate issued by the Chartered Accountant ig and the alleged Surveyor's report, the respondent did not produce any contemporaneous records as contemplated under the provisions of the Contract before the learned arbitrator. The learned arbitrator accepted the alleged documents mechanically without any proof. The objections raised by the petitioner in respect of the existence and contents of those documents have not been dealt with by the learned arbitrator though such objections were recorded by the learned arbitrator in the impugned award.

198. In so far as the claim made by the respondent "on account of Reimbursement of Manpower Cost-Rs.1,52,68,804/-" is concerned, it is submitted by the learned senior counsel that the respondent had not adduced any documentary or oral evidence or examined any concerned person with regard to actual deployment of manpower during the alleged extended period of contract for which the respondent had prayed for reimbursement of manpower cost. The respondent had also not produced any contemporaneous documents in respect thereof. Learned senior counsel submits that the award of this claim is also challenged on the 91 arbp-868.16(j).doc similar grounds raised in respect of the claim on account of reimbursement of equipment cost.

199. In so far as the claim "on account of Reimbursement of Overhead Cost-Rs.11,53,63,161/-" is concerned, it is submitted by the learned senior counsel for the petitioner that the learned arbitrator did not arrive at any conclusion in respect of the said claim and wrongly included the amount of

Rs.11,53,63,161/- under the said claim in the total sum of Rs.52,73,92,129/- awarded by the learned arbitrator towards damages in favour of the respondent. He submits that the said claim is also awarded by the learned arbitrator mechanically without any evidence and the award of this claim is also challenged on the similar grounds on which the claim on account of reimbursement of manpower cost is challenged by the petitioner.

200. In so far as the claim "on account of Compensation for hike in steel price hike-Rs.4,89,19,973/-" is concerned, it is submitted by the learned senior counsel that the learned arbitrator has not given any findings in respect of the said claim in the impugned award at all. He submits that as per Clause 70.1 of Conditions of Particular Application, the petitioner had already paid the escalation cost aggregating to Rs.9,78,30,634/- to the respondent for the work done by the respondent upto 30 th October 2004 and thus the respondent was not entitled to make any claim for the alleged hike in steel price hike. He submits that the alleged hike in steel price hike was over lapping with the amount of escalation already paid by the petitioner to the respondent. He submits that escalation amount of Rs.9,78,30,634/- paid 92 arbp-868.16(j).doc by the petitioner to the respondent included the escalation in respect of the items comprising of steel. He submits that in any event, the said claim was not supported by any acceptable or admissible evidence.

201. It is submitted by the learned senior counsel that there were gross discrepancies between Annexure-IV to the letter dated 4 th January 2005 of the respondent and the interim Bill No.24 raised by the respondent after completion of the whole work under the contract. He submits that the petitioner had disputed the contents of the letter dated 4th January 2005 and the Annexures thereto. It is submitted that no contemporaneous documents in support of such huge claim as required under Sub Clause 53.4 of Section 2 of Conditions of Contract, Part-I of General Conditions of Contract had been produced by the respondent before the learned arbitrator. He submits that the entire award suffers from non-application of mind and shows patent illegality.

202. In so far as the claim "on account of Compensation for Financial Cost-Rs.1,16,07,691/-" is concerned, it is submitted by the learned senior counsel for the petitioner that the learned arbitrator did not give any findings in respect of this claim and included the said claim amount in the huge claim of Rs.52,73,92,129/- mechanically. He submits that though the learned arbitrator had recorded the submissions advanced by both the parties, he came to a conclusion in so far as this claim is concerned without dealing with the submissions made by both the parties and more particularly the petitioner. The respondent had not produced any contemporaneous records as contemplated under Clauses 53.4, 53.2 and 53.3 of General Conditions of Contract or any evidence and thus failed to substantiate the said claim.

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203. In so far as the claim "on account of Compensation for Loss of Opportunity-Rs.8,34,68,833/-" is concerned, it is submitted by the learned senior counsel for the petitioner that the learned arbitrator awarded the said claim without any material evidence on record and overlooking the mandatory provisions of the contractual Clause 53.4 of General Conditions of Contract. He submits that the learned arbitrator had totally overlooked and ignored Clause 53.4 read with Clauses 53.2

and 53.3 of the General Conditions of Contract under which the learned arbitrator under an obligation to ascertain whether the respondent had produced any contemporary documents in support of the said claim.

The entire claim awarded by the learned arbitrator was based on no evidence.

204. In so far as the claim "on account of Reimbursement of Price Adjustment-Rs.21,07,655/-" is concerned, it is submitted by the learned senior counsel that this claim awarded by the learned arbitrator is also based on no evidence and contemporaneous documents as required under Clause 53.4 read with Clauses 53.2 and 53.1 of Section 2 of Conditions of Contract. The learned arbitrator even did not consider the material on record and submissions made by the petitioner. He submits that this part of the claim in respect of increment in labour charges was contrary to clause 70.1 of the Conditions of Particular Application.

205. Learned senior counsel for the petitioner placed reliance on the judgment of the Supreme Court in the case of Associate Builders Vs. Delhi Development Authority, reported in (2015) 3 SCC 49 and 94 arbp-868.16(j).doc in particular paragraphs 28 to 37 and 40 in support of the submissions that since the award rendered by the learned arbitrator shows patent illegality and perversity, the same deserves to be set aside. He also placed reliance on the judgment of the Supreme Court in the case of Navodaya Mass Entertainment Ltd. Vs.J.M. Combines, reported in 2015 (5) SCC 698 and more particularly paragraph 8 thereof. He distinguished the judgment of the Supreme Court in the case of Ravindra Kumar Gupta and Company Vs. Union of India, reported in (2010) 1 SCC 409.

206. Learned senior counsel for the petitioner placed reliance on an unreported judgment delivered by this Court on 24 th June 2013 in the case of M/s.J.N. Construction Vs.M/s.Shah Jagshi Jethabhai in Appeal No.707 of 2012 in Arbitration Petition No.348 of 2009 and would submit that the Division Bench has set aside the arbitral award awarding the claim for compensation which was allowed without entering into a finding to the effect that the present Hudson's formula was an appropriate formula to adopt and since the award had merely recorded that it was well known that there were various formulae for the purpose of computing the damages. The award did not indicate any evaluation for adopting a particular basis or formula. Division Bench had set aside the arbitral award on the ground that the learned arbitrator had proceeded to divide the period of delay and to apportion it equally between the parties thereto without any evidence being adduced by the appellant and held that the said award was founded on no evidence at all. It is submitted by the learned senior counsel that in this case, the learned arbitrator has allowed the entire claim for compensation based on no evidence and contrary to the principles of law laid down by this 95 arbp-868.16(j).doc Court in the case of M/s.J.N. Construction (supra). It is submitted that the pleadings filed by the respondent cannot be considered as proof which has been done by the learned arbitrator in this case.

207. Learned senior counsel for the petitioner placed reliance on the judgment of the Delhi High Court in the case of Avi Coach Builders Vs. Union of India, reported in 2009 (1) Arb.LR 254 (Delhi) (DB) and more particularly paragraph 13 thereof and would submit that even though the arbitral

award recites that the pleadings filed by both the parties, documentary evidence produced by them and the detailed arguments were put forth by each of the parties, the award was lacking in reasons. He also placed reliance on the judgment of the Delhi High Court in the case of Delhi Development Authority Vs.Sunderlal Kothari and Sons, reported in [ILR (2009) III Delhi 648] and more particularly paragraph 33 and would submit that the learned arbitrator could not have given reasons in support of the part of the claim and not in support of the other claims.

208. Mr.Khambatta, learned senior counsel for the respondent, on the other hand, submits that in view of the amendment to Section 34 of the Arbitration and Conciliation Act, 1996, the Wednesbury principles interpreted by the Supreme Court in the case of ONGC Vs. Western GECO International Ltd., reported in (2014) 9 SCC 263 cannot be made applicable by this Court in this case. He placed reliance on recommendation made by the Law Commission considered by this Court in the case of M/s.Rendezvous Sports World Vs. The Board of Control for Cricket in India delivered on 14th June 2016 in Chamber Summons 96 arbp-868.16(j).doc No.1530 of 2015 in Execution Application (L) No.2481 of 2015 and more particularly paragraphs 23, 24, 26, 36 and 41 thereof. He submits that the principles of law laid down by this Court in the said judgment after construing various amendments to the Arbitration and Conciliation Act, 1996 would apply to this case while dealing with the application under Section 34 of the Arbitration Act. He submits that the amended grounds under Section 34 only can be applied to the present proceedings and thus Wednesbury principles cannot be applied.

209. Without prejudice to the aforesaid submissions made by the learned senior counsel on the limited scope of reference of the Arbitration Act, it is submitted by the learned senior counsel that the respondent had claim first extension for 674 days, second extension for 160 days, third extension for 163 days and fourth extension for 36 days totaling to 1033 days. The respondent, however, was able to complete the work in 562 days. The learned arbitrator awarded extension of 562 days and awarded compensation in respect thereof. He submits that the claims concerning delay and grant of extension are dealt with the learned arbitrator under Issue nos.3, 4, 5 and 8. It is submitted that the findings recorded by the learned arbitrator on those four issues are purely factual in nature and cannot be interfered with by this Court. He submits that this Court cannot re-appreciate the evidence on record which was extensively led before the learned arbitrator and considered by the learned arbitrator.

210. It is submitted that the learned arbitrator has interpreted the terms of the contract and since his interpretation is a possible 97 arbp-868.16(j).doc interpretation, the same cannot be substituted by another interpretation by this Court.

211. It is submitted by the learned senior counsel that the bid of the respondent was accepted on 30 th May 2000. The letter of acceptance was issued on 19th September 2000 which was clarified on 28th September 2000, stipulated date for completion of work was 15th June 2003 and the work was actually completed by 28 th December 2004 to the satisfaction of the petitioner. There was thus delay of 562 days beyond stipulated period of completion beyond the control of the respondent. Learned senior counsel placed reliance upon several letters addressed by the respondent to the Engineer of the petitioner for seeking extension of time for number of days with the reasons

recorded therein not attributable to the respondent. He submits that the respondent did not finally press in respect of all the items as claimed in the statement of claims and more particularly on account of mechanical delays before the learned arbitrator and had restricted their claim to the delay events provided in the tabulations appended to the written note submitted by the respondent before the learned arbitrator in Volume 21 and more particularly on pages 11 to 38 thereof.

212. It is submitted by the learned senior counsel that the learned arbitrator considered each and every delay on its individual merits without reference to the parallel effect and found that those delays were not attributable to the respondent but were attributable to the petitioner. He submits that though the respondent was entitled to much more than the actual delay of 562 days, the learned arbitrator had awarded the claim for delay of only 562 days. He submits that there is 98 arbp-868.16(j).doc thus no perversity in the impugned award rendered by the learned arbitrator as canvassed by the learned senior counsel for the petitioner.

213. Learned senior counsel for the respondent would submit that 9 days extension awarded by the learned arbitrator was due to such delay overlapping the other delays. He submits that if there was any mistake on the part of the learned arbitrator in considering the delay attributable on the part of the petitioner, at most it could be considered as a mistake of fact and the impugned award thus could not be set aside on the ground of the alleged mistake of fact.

ig He submits that no application was filed by the petitioner for clarification of the impugned award or for additional award under Section 33 of the Arbitration Act.

He submits that the learned arbitrator has not allowed the claim on the basis of what the respondent could claim as actual entitlement but allowed the claim on the basis of actual additional days taken by the respondent in carrying the work.

214. It is submitted by the learned senior counsel that clause 5.8 of the Contract Volume 10 at page 156 provides for submission of reports on a regular frequency to the Engineer of the petitioner which report was submitted as per the Contract to the said Engineer for the purpose of apprising the status of works and availability of resources.

He submits that those documents were within the meaning of words "contemporaneous records" under Clauses 53.2 and 53.4 of the General Conditions of Contract. He submits that there was no complaint against the respondent by the petitioner or its Engineer at any point in time that clause 5.8 of the contract had not been complied with or there 99 arbp-868.16(j).doc had been a wrong reporting in the said reports. He submits that in any event, under clause 53.4 of the General Conditions of Contract, the contractor could submit the said contemporaneous records directly before the learned arbitrator also.

215. It is submitted that the respondent had actually submitted those reports before the learned arbitrator along with their pleadings and not for the first time through Mr.Sanath Kumar (CW-1). It is submitted that the petitioner, however, vide their letter dated 20 th May 2005 had denied some of the documents which documents did not contain any of those reports. He submits that mere

tendering of those documents of Mr.Sanath Kumar was a matter of formal proof which can be dispensed with in arbitration proceedings. The learned arbitrator is empowered to rely upon those documents which were admitted by the petitioner and were part of the project documentation, submitted contemporaneously to the Engineer of the petitioner under the provisions of the contract by the respondent. He submits that the respondent had filed Daily Progress Reports/Weekly Progress Reports/Daily Shift Reports before the learned arbitrator. It is submitted that the Daily Shift Reports were never disputed before the learned arbitrator and there was no dispute that the reports were maintained according to the contractual provision. He submits that even the petitioner had referred to some of those reports in their written arguments filed before the learned arbitrator.

216. In so far as the Weekly reports for the period from 14 th November 2000 to 20th December 2004 produced before the learned arbitrator is concerned, it is submitted that these volumes of records 100 arbp-868.16(j).doc which were produced before the learned arbitrator were maintained in ordinary course of business. He placed reliance on letter dated 20 th May 2005 addressed by the learned advocate for the petitioner to the learned advocate for the respondent and would submit that none of Daily reports or Weekly reports except one were disputed by the petitioner. He submits that such reports were the primary evidence.

217. In so far as the oral evidence of Mr.Sanath Kumar examined by the respondent is concerned, it is submitted by the learned senior counsel that the award cannot be said to have been based upon the evidence of Mr.Sanath Kumar alone. He submits that the learned arbitrator in the impugned award and more particularly in paragraph 21 had categorically mentioned that the correspondence as well as the evidence of the witness placed on record by the respondent clearly shows that the respondent was furnished with inaccurate data leading to delay in the implementation of the project. He submits that the learned arbitrator thus considered the correspondence also and not the evidence of Mr.Sanath Kumar alone. It is submitted that to what extent such evidence was relied upon by the learned arbitrator cannot be discerned from the award.

218. It is submitted by the learned senior counsel that there was no specific reference to the question and answer of Mr.Sanath Kumar in the impugned award. The submissions made by the learned senior counsel for the petitioner are merely speculative. He submits that even if Mr.Sanath Kumar did not attend for the purport of his cross- examination, the same would not make any difference on merits of the 101 arbp-868.16(j).doc claims made by the respondent and the impugned award cannot be set aside on that ground. He submits that the learned arbitrator had not followed the procedure of marking of documents relied upon by both the parties.

219. It is submitted by the learned senior counsel that Mr.Mandre, one of the witnesses examined by the respondent while answering the question no.464 had categorically stated that the preceding activity for installation of fire water pump was completion of deck slab at pump house and had confirmed that the deck slab was completed on 23 rd March 2002. Admittedly, the time required for manufacturing and procurement of pump was six months after finalization of purchase specification.

220. In so far as the quantification of claim awarded by the learned arbitrator is concerned, it is submitted by the learned senior counsel for the respondent that in paragraph 74 of the impugned award, the learned arbitrator had categorically rendered a finding of fact that in view of answers to Issue nos.3, 4 and 5 in the affirmative, the respondent herein would be entitled to damages on account of extended stay and costs incurred by the respondent and they would also be entitled to damages. He submits that the learned arbitrator has applied his mind to the evidence placed before him and has given various findings and conclusions based on such evidence.

221. It is submitted by the learned senior counsel that in so far as equipment cost is concerned, the learned arbitrator has considered the letter dated 4th January 2005 by which the respondent had submitted a 102 arbp-868.16(j).doc detailed break-up of the said claim. The said letter is considered in paragraph 1.20(i)(a) at page 193 of the arbitration petition. The learned arbitrator has also considered the detailed basis of the said claim furnished by the respondent in their written submissions. The respondent had computed the hire charges of each machinery in accordance with the provisions of IS No.11590 and replacement value of equipment.

He has also considered the Assessment Report of the Surveyor regarding each machinery, list of actual deployment period, date of purchase, replacement value, depreciated value and balance service life in respect of each machinery certified by the said Surveyor. Learned senior counsel submits that the learned arbitrator had also considered the documents at Serial Nos.1311 to 1313 of the Affidavit of documents dated 10th August 2005 and also the documents filed in Volume GG regarding equipment taken on hire from different suppliers disclosed through the Affidavit of Documents filed on 25 th November 2005. He submits that in paragraph 75.1.20(i)(c) at page 193 of the arbitration petition, the learned arbitrator has rendered a finding that it can safely concluded that the details furnished by the respondent herein are relevant parameters for determining the hire charges of the respective machinery/equipment.

222. In so far as the manpower cost is concerned, the learned senior counsel for the respondent submits that the learned arbitrator has considered Annexure-II of Volume E which was consisting of detailed computation of manpower cost, Auditor's Certificate for manpower cost, Salary and Wage Register Volume EE and FF. He invited my attention to paragraph 1.20(ii)(b) at page 195 of the arbitration petition and submits that the learned arbitrator has rendered a finding that the 103 arbp-868.16(j).doc respondent had contended that they had incurred actual manpower cost of Rs.2,64,10,905/- during the contractual period. The aforesaid figure was supported by the salary/wage register produced by the respondent before the learned arbitrator. In so far as the overhead cost is concerned, it is submitted by the learned senior counsel for the respondent that the learned arbitrator has considered Annexure-II of Volume E which was consisting of computation of overhead costs with details of overhead expenses, Auditor's Certificate for Head Office overheads and site overhead expenses and original vouchers, invoices and receipts.

223. In so far as the claim for compensation of price hike of steel is concerned, it is submitted by the learned senior counsel that the learned arbitrator has considered the letter dated 4 th January 2005 addressed by the respondent wherein the respondent had submitted a detailed break-up of the said claim. The learned arbitrator has also considered the invoices of steel filed vide Affidavit dated 10 th

August 2005.

224. In so far as the claim of Financing cost is concerned, it is submitted by the learned senior counsel for the respondent that the learned arbitrator has considered the letter dated 4th January 2005 addressed by the respondent wherein the respondent had submitted a detailed break-up of the said claim. The learned arbitrator rendered a finding in paragraph 1.20(iv)(b) at page 197 of the arbitration petition that the respondent herein had showed that the cost of overhead and profit was 25.97% of the contract i.e.Rs.30 crores amounting to Rs.7.2 crores. The respondent was required to finance the said amount of Rs.7.2 crores by utilizing their own finances suffering an interest 104 arbp-868.16(j).doc loss of Rs.1.16 crores calculated @18% p.a. It is submitted that additionally, the learned arbitrator has rendered a findings on two further heads i.e. loss of opportunity and reimbursement on price adjustment in paragraph 78 at page 200 of the arbitration petition.

225. It is submitted by the learned senior counsel that the learned arbitrator had considered the original vouchers/receipts of materials, salary receipts, proof of mobilization and demobilization machinery. He submits that the respondent had provided all details and particulars with all supporting vouchers in support of the amounts of Rs.52,73,92,129/- claimed by the respondent under different seven heads. It submitted by the learned senior counsel that the petitioner by its letter dated 2nd December 2005 had requested the respondent to bring those documents in original before the learned arbitrator which were brought by the respondent to the arbitration proceedings for the sake of inspection. The petitioner, however, did not deny any of those documents.

226. Learned senior counsel placed reliance of the judgment of the Supreme Court in the case of Associated Builders (supra) and in particular paragraph 33 and would submit that this Court while deciding the petition under Section 34 of the Arbitration Act cannot interfere with the findings of facts and cannot re-appreciate the evidence considered by the learned arbitrator. He submits that since the approach of the learned arbitrator is not arbitrary or capricious, no interference with the approach of the learned arbitrator is permissible under Section 34 of the Arbitration Act. The learned arbitrator is the ultimate master of the quantity and quality of evidence to be relied upon when he delivered his final award.

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227. It is submitted that whether the documents produced by the respondent including computations, registers, Surveyor's report, Auditor's Certificate etc. had probative value or were proved was a matter entirely within the domain of the learned arbitrator. He submits that the arbitrator is thus the sole judge of quality as well as the quantity of evidence. In support of this submission, learned senior counsel placed reliance on the judgments of the Supreme Court in the cases of Municipal Corporation of Delhi Vs. Jagan Nath Ashok Kumar, reported in (1987) 4 SCC 497 (paragraph 4), Sudarsan Trading Co. Vs. Government of Kerala, reported in (1989) 2 SCC 38 (paragraph 29) and the Associate Builders (supra) (paragraph 52). Learned senior counsel for the respondent placed reliance on the judgment of the Delhi High Court in the case of Delhi Development Authority Vs. Harbans Singh & Sons, reported in 2008 (105) DRJ 60 (DB) and would submit that the learned arbitrator was not required to give details of his computation and give his

mental meanderings. He submits that this Court cannot go into the reasonableness of reasons or sufficiency of the reasons recorded by the learned arbitrator.

228. Learned senior counsel placed reliance on the judgment of this Court in the case of Union of Indian Vs. Sagar Construction Company, reported in 2009 SCC Online Bom 1812 wherein this Court has held that the Court must see an award in totality and some lacuna or lack of details is not reason enough to treat an award as unreasoned or interfere with it.

229. Learned senior counsel for the respondent distinguishes the judgment of the Delhi High Court in the case of Avi Coach Builders 106 arbp-868.16(j).doc (supra) relied upon by the learned senior counsel for the petitioner on the ground that in that judgment, the award was set aside on the ground that the arbitrator had not referred at all to any of the relevant documents and had not even given brief reasons whereas, in this case, the learned arbitrator had referred to various documents referred to and relied upon by the respondent and has passed a reasoned award. He distinguishes the judgment of the Delhi High Court in the case of Delhi Development Authority Vs. Sunder Lal Khatri & Sons, reported in ILR (2009) III DELHI 648 and would submit that short reasons are adequate in an arbitral award and giving of reasons is not the same as giving of a detailed judgment.

230. It is submitted by the learned senior counsel that the learned arbitrator had accepted the Surveyor's report at page 192 of the arbitration petition. He submits that paragraph 79 of the impugned award has to be read with the general findings rendered by the learned arbitrator in respect of the claim. He submits that though in the impugned award, there was no positive conclusion that the evidence produced in respect of the other claims were accepted by the learned arbitrator for all the claims, the Court has to read those reasons in respect of all the claims.

231. Learned senior counsel invited my attention to the written arguments filed by the petitioner before the learned arbitrator and more particularly on pages 83 to 85 wherein the petitioner had simply denied the claim of the respondent on the ground that there was no supporting vouchers or proof produced by the respondent. He submits that certificate issued by the Chartered Accountant which is considered 107 arbp-868.16(j).doc by the learned arbitrator has to be considered along with several documents and reports produced by the respondent. He submits that it was not the case of the petitioner that the entire claim for damages is awarded by the learned arbitrator based on no evidence. He submits that the process of the learned arbitrator while allowing the claim made by the respondent is clear and apparent.

232. Mr.Aney, learned senior counsel for the petitioner in rejoinder submits that the petitioner has not challenged the award on the basis of erroneous interpretation of the contract by the learned arbitrator but has challenged on the basis that he did not even consider or deal with the applicable contractual clauses and has decided contrary to the express conditions of the contract. He submits that the petitioner has not made any submissions seeking re-appreciation of evidence. It is submitted that as per Section 28(3) of the Arbitration Act, the learned arbitrator was bound to ensure that the award was in accordance with the contract which the learned arbitrator failed to do and has decided contrary to Section 28(3) of the Arbitration Act and the impugned award is in conflict with the public policy.

233. Learned senior counsel placed reliance on paragraph 19 of the judgment of the Supreme Court in the case of Associate Builders (supra). He submits that the amended Section 34 of the Arbitration Act would not apply to this petition in view of the fact that this petition is already pending before this Court on the date of the said amendment having come into force. He submits that in any event, even if the amended Section 34 is applicable to the pending petition under Section 34 of the Arbitration Act, the petitioner has sufficiently made out a case 108 arbp-868.16(j).doc for interference with this award even under the amended grounds of challenge available under Section 34 of the Arbitration Act. He submits that under the amended Section 34(2)(a), an arbitral award arising out of the arbitrations other than international commercial arbitrations can also be set aside by this Court, if the Courts finds that the award is vitiated by patent illegality appearing on the face of the award. In this case, the award shows illegality appearing on the face of the award filed by the petitioner in the arbitration petition and during the course of oral submissions advanced before this Court.

234. It is submitted that the judgment of the Supreme Court in the case of ONGC Vs. Western GECO International Ltd. (supra) holds the field. It is submitted by the learned senior counsel that the impugned award is not only contrary to the express provisions of the contract but is based on the evidence of witness Mr.Sanath Kumar through whom the respondent had submitted and sought to prove the Daily Shift Reports and Jack up Registers which were not admitted by the petitioner which witness was never made available for cross-examination. In support of this submission, learned senior counsel invited my attention to the notes of evidence of examination-in-chief of Mr.Sanath Kumar at page 3 of Volume 30. He also placed reliance upon the Minutes of Order dated 11th June 2005 on the issue whether the evidence of Mr.Sanath Kumar could be considered or not in view of he being not available for cross- examination.

235. It is submitted that though the learned arbitrator himself had observed in the impugned award that the petitioner had not admitted those reports and the said objections had been noted by the learned 109 arbp-868.16(j).doc arbitrator and though the respondent had not proved the existence and contents of those reports, the learned arbitrator placed reliance upon those disputed documents. He submits that since the said documents were sought to be proved through the said witness Mr.Sanath Kumar which was not available for cross-examination, no cognizance thereof could be taken by the learned arbitrator as authenticate or proved documents while allowing the claims made by the respondent and more particularly in support of the claim for extension of time. He submits that the documents i.e. Daily Shift Reports and Jack up Registers were sought to be proved through the witness Mr.Sanath Kumar and the correctness of the contents of the said Daily Shift Reports were not admitted by the petitioner and Jack up registers were also objected to by the petitioner.

236. It is submitted by the learned senior counsel of the petitioner that the learned arbitrator did not give any reasons for granting the claim of 5 components i.e. (i) Reimbursement of Equipment cost-Rs.25,06,56,010/-, (ii) Reimbursement of Manpower cost- Rs.1,52,68,804/-, (iii) Reimbursement of overhead cost-

Rs.11,53,63,161/-, (iv) Compensation for hike in steel price- Rs.4,89,19,973/- and (v) Compensation for financial cost- Rs.1,16,07,691/-, totaling to Rs.44,18,15,614/-. He submits that the respondent cannot rely upon the alleged documentary evidence in these proceeding to support the reasons recorded by the learned arbitrator in these proceedings which documents were not considered by the learned arbitrator in the impugned award. He submits that this Court cannot probe into the mind of the learned arbitrator and to ascertain whether the documents which were filed by both the parties must have been 110 arbp-868.16(j).doc considered by the learned arbitrator though the same were not reflected, referred or dealt with by the learned arbitrator in the impugned award. He submits that the learned senior counsel for the respondent could not demonstrate before this Court that any reasons were recorded by the learned arbitrator while allowing the claim of Rs.44,18,15,614/- in the impugned award. Learned senior counsel also placed reliance on the paragraph 42.2 of the judgment of the Supreme Court in the case of Associate Builders (supra).

237.

reading of the award itself, It is submitted by the learned senior counsel that from plain it is clear that out of total claim of Rs.52,73,92,129.01, save and except two items i.e. Rs.8,34,68,833/- in respect of alleged loss incurred by the respondent on account of loss of opportunity and Rs.21,07,655/- in respect of reimbursement of price adjustments, the learned arbitrator did not give any reasons or findings for the award of 5 other components referred to aforesaid in the impugned award. The award is ex-facie in violation of Section 31(3) of the Arbitration Act and deserves to be set aside on that ground alone. He submits that in respect of the other claims allowed by the learned arbitrator, the claims are awarded though the documents in support of those components were not proved.

238. Learned senior counsel reiterated his submission based on the judgments of the Supreme Court in the cases of Mohinder Singh Gill and Anr. Vs. Chief Election Commissioner New Delhi and Ors., reported in AIR 1978 SC 85 and Maharashtra State Board of Secondary and Higher Secondary Education Vs. K.S. Gandhi, 111 arbp-868.16(j).doc reported in (1991) 2 SCC 716 (paragraphs 20 and 21) in support of his submission that the requirement of giving of reasons in the arbitration award forms part of fundamental policy of Indian law and any breach thereof would amount to in conflict with the most basics notions of morality and justice.

239. Mr.Khambatta, learned senior counsel for the respondent in sur-rejoinder reiterated his submission in respect of various findings of facts rendered by the learned arbitrator in respect of the alleged delay and breaches on the part of the petitioner and heavily placed reliance on the Law Commission Report No.246 observing that the scope of reviewing an arbitral award by the Court on the ground of public policy had been limited and cannot be re-opened on merits. He submits that the applicability of the Wednesbury test which is based on an examination of facts and merits of a matter, has been removed from the purview of the Court under the amended Section 34 of the Arbitration and Conciliation Act, 1996. Learned senior counsel once against placed reliance on the judgment of this Court M/s.Rendezvous Sports World Vs. The Board of Control for Cricket in India (supra) and would submit that the amended provisions of the Arbitration Act would apply to the post arbitral proceedings pending as on 23 rd October 2015 including this arbitration petition.

240. It is submitted by the learned senior counsel that the petitioner had not denied the existence and receipt of Daily Shift Reports and the Jack up Registers which formed an integral part of the contemporaneous records but had merely disputed the correctness and 112 arbp-868.16(j).doc contents thereof. He submits that strict rules of evidence do not apply to the arbitral proceedings. The veracity of the contents of the documents pertains to their probative value, the estimation of which is within the sole purview of the sole arbitrator. The learned arbitrator was empowered to rely upon such contemporaneous records in order to assess and determine the extension of time for delay in terms of Clause 53.4 of the General Conditions of Contract.

241. Learned senior counsel for the respondent once again placed reliance on various findings of facts recorded by the learned arbitrator holding that the details furnished by the respondent were relevant parameters for determining the claims made by the respondent.

242. Learned senior counsel for the respondent distinguishes the judgment of the Supreme Court in the case of Union of India Vs. H.P. Chothia, reported in (1978) 2 SCC 586) and Mohinder Singh Gill and Anr. (supra) on the ground that the respondent was not attempting to supply reasons to the award that were not already contained in the award. Learned senior counsel also distinguishes the judgment of the Supreme Court in the case of Maharashtra State Board of Secondary and Higher Secondary Education (supra) and the judgment of this Court in the case of M/s.J.N. Construction (supra) on the ground that the learned arbitrator in this case has provided reasons for awarding the claim of compensation after considering and applying his mind to the material and evidence placed before him.

243. Learned senior counsel also distinguished the judgment of this Court in the case of Bombay Intelligence Security (India) Ltd. Vs. 113 arbp-868.16(j).doc Oil & Natural Gas Corporation Limited decided on 21st August 2015 in Arbitration Petition No.822 of 2012 and in particular paragraph 67 thereof and would submit that the said judgment of this Court would not apply to the facts of this case. He submits that the respondent has referred only to the material that was placed before the learned arbitrator and also considered by the learned arbitrator.

244. Learned senior counsel for the respondent also dealt with the judgment of this Court in the case of Indian Oil Corporation Ltd. Vs. Artson Engineering Ltd. decided on 30th October 2015 in Arbitration Petition No.408 of 2005 and would submit that in the said judgment, the party had sought to supplant the reasons rendered by the learned arbitrator which material had not been dealt with by him in the impugned award at all. He submits that the respondent has not made any such attempt in this case.

245. It is submitted that the learned senior counsel for the petitioner could not distinguish the judgments relied upon by the respondent which judgments squarely apply to the facts of this case and to the findings of this Court.

REASONS AND CONCLUSIONS IN RESPECT OF CLAIMS FOR COMPENSATION UNDER SEVENT HEADS

246. The learned arbitrator has decided these seven claims while discussing issue nos. III to VIII. The learned arbitrator has granted extension of 1437 days to complete the work. The learned arbitrator has thereafter proceeded to decide the quantum of these seven claims made 114 arbp-868.16(j).doc by the respondent. The respondent had claimed an amount of Rs.52,73,92,129/- under those seven heads viz., equipment cost, manpower cost, overhead cost, compensation for price hike of steel, loss of account of additional financing cost, loss of opportunity cost, reimbursement on price adjustment Rs.21,07,655/-.

247. The learned arbitrator discussed the quantification of these claims in paragraphs 1.17 to 1.20 and in paragraphs 76 to 79. It is held by the learned arbitrator that in view of the respondent herein having established the delay on the part of the petitioner as well as on account of hindrances as claimed by the respondent and discussed at the relevant portion of the award, the learned arbitrator was required to consider the entitlement of the respondent to the costs of Rs.52,73,92,129/-. The respondent had made claim of an amount of Rs.8,34,68,833/- in the written submissions filed before the learned arbitrator towards the claim of loss of opportunity.

248. In so far as the said claim of loss of opportunity is concerned, the learned arbitrator held that the respondent would be entitled to an amount of Rs.8,32,68,833/- arrived at by multiplying 10% of Rs.4.51 crores into 18 months which period was considered as the extended period by the learned arbitrator.

249. In so far as the claim for reimbursement of price adjustment of Rs.21,07,655/- is concerned, the learned arbitrator held that the respondent would be entitled to increment in labour wages on account of alleged failure of the petitioner or their engineer to comply with the 115 arbp-868.16(j).doc contractual obligations and/or for the reasons beyond the control of the respondent. The learned arbitrator placed reliance on clause 70.1 of the Conditions of Particular Application and computed the said claim on the basis of the formula set out in clause 70.1 and awarded a sum of Rs.21,07,655/- on account of increase and decrease in cost of labour wages. The learned arbitrator however in paragraph 79 of the impugned award held that in view of the findings in respect of the individual claims alleged to have been rendered in the earlier paragraphs, the respondent would be entitled to an amount of Rs.52,73,91,129/-.

250. The learned arbitrator has awarded interest @ 12% p.a. In so far as the counter claim made by the petitioner in the sum of Rs.45,31,67,181/- is concerned, the petitioner had already deducted an amount of Rs.4,31,74,152/- by way of liquidated damages from the running account bills of the respondent. The petitioner had further deducted a sum of Rs.58,25,909.43 by way of liquidated damages totalling to Rs.4,33,46,047.76. The petitioner had demanded the balance amount of Rs.40,98,21,133.24 as damages and sought permission to withdraw a sum of Rs.2,83,65,888/- which were deposited by the petitioner in this Court pursuant to the orders dated 30th June, 2004 and 19th July, 2004 in the earlier proceedings filed by the parties against each other in this court. In paragraph 120 of the impugned award, the learned arbitrator held that the petitioner had failed to comply with their obligations under the contract. The respondent had faced several hindrances while carrying on work which could not be attributed to the respondent. The respondent thus could not be faulted for completion of work beyond the stipulated contractual period.

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251. It is held that the petitioner thus would not be entitled to deduct any amount as liquidated damages. The learned arbitrator accordingly rejected the counter claim made by the petitioner. The learned arbitrator in the concluding paragraph has awarded a sum of Rs.64,91,31,635/- with interest @ 12% p.a. from the date of notice invoking arbitration agreement until the date of payment and further directed both the parties to pay further sum of Rs.7,50,000/-for the preparation and declaration of the award and further sum of Rs.1,25,000/-

by way of secretarial charges and other expenses.

252. A perusal of the record indicates that both the parties had relied upon the oral and documentary evidence in respect of the claim for compensation. One of the issue raised by the petitioner while challenging the impugned award, in so far as the claim for compensation is concerned, is that the evidence of Mr.Sanath Kumar who was examined one of the witnesses by the respondent as regards Serial Nos.1, 3, 5, 14, 36, 38 and 47 of Issue Nos.3, 4, 5 and 8 could not have been relied upon by the learned arbitrator in view of admitted fact that the said Mr.Sanath Kumar was not available for cross-examination and had left his evidence midway.

253. The said Mr.Sanath Kumar was examined to prove the existence and contents of various documents by the respondent on various issues. A perusal of the affidavit in lieu of the examination-in- chief of Mr.Sanath Kumar clearly indicates that he has examined as regards Serial Nos.1, 3, 5, 14, 36, 38 and 47 of Issue Nos.3, 4, 5 and 8. There is no dispute between the parties that the said Mr.Sanath Kumar was not available for cross-examination and had left his evidence 117 arbp-868.16(j).doc midway. A perusal of the minutes of one of the meetings of the learned arbitrator indicates that he had given a ruling that the said Mr.Sanath Kumar could not remain present for the entire cross-examination and his evidence would not be considered. A perusal of the impugned award indicates that though such ruling was given by the learned arbitrator, a substantial part of the evidence of Mr.Sanath Kumar had been considered by the learned arbitrator in the impugned award while allowing the claim for compensation though the said witness was not available for the purpose of cross-examination and contrary to the ruling given by the learned arbitrator.

254. Mr.Sanath Kumar had also given his evidence on the issue of piling and also in support of the allegations of delay of 53 days made by the respondent before the learned arbitrator which was one of the alleged incidence of delay under Issue No.3. Similarly, the said witness was examined in respect of extension of 34 days. The learned arbitrator has considered various documents and more particularly Jackup reports which was sought to be proved by the respondent through the said witness Mr.Sanath Kumar. A perusal of the record indicates that the said witness was also sought to be examined by the respondent to prove the alleged Daily Shift Reports/Daily Survey Reports/Daily Progress Reports through the said witness Mr.Sanath Kumar.

255. In my view, the learned arbitrator could not have relied upon the evidence of the said witness and more particularly the deposition made in the affidavit in lieu of examination-in-chief in the impugned award since the said witness was not made available for cross-examination. The evidence

in examination-in-chief of a party 118 arbp-868.16(j).doc without an opportunity to cross-examine to the other party cannot be considered as evidence and cannot be relied upon in a Court of law or in arbitration against the other party. The impugned award based on such evidence of Mr.Sanath Kumar allowing the claim for compensation thus deserves to be set aside. In so far as the submission of the learned senior counsel for the respondent that the impugned award is not based only on the evidence of Mr.Sanath kumar has no merit.

256. I shall now discuss the claims for compensation awarded by the learned arbitrator in favour of the respondent and the rejection of the counter claim made by the petitioner.

257. There is no dispute that the respondent had applied for extension of 7711 days under various heads before the Engineer. The Engineer, however, had granted extension of 177 days only which did not include a period of 36 days extension which was never brought for consideration of the Engineer. It is not in dispute that the respondent claimed extension of 1805 days only in their statement of claim filed before the learned arbitrator. A perusal of the impugned award indicates that the learned arbitrator, however, granted extension of 1437 days in favour of the respondent in the impugned award.

258. Learned senior counsel appearing for the parties have made detailed submissions also on the issue as to whether the learned arbitrator was justified in granting extension of 1437 days in favour of the respondent or not and placed reliance on the correspondence exchanged between the parties and various averments made in the pleadings filed 119 arbp-868.16(j).doc by the parties. My attention is also invited to some portions of the oral evidence led by the parties and recorded by the learned arbitrator.

259. A perusal of the award indicates that the learned arbitrator has referred to and relied upon the Daily Shift Reports/Daily Survey Reports/Daily Progress Reports in the impugned award which were sought to be proved by the respondent through Mr.Sanath Kumar which reports were disputed by the petitioner. The respondent could not prove the existence and contents of the documentary evidence sought to be relied upon before the learned arbitrator though examined the witnesses.

From bare perusal of the award, it is not possible to discern the good portion of the award with the bad portion of the award and more particularly to segregate the part of the claim allowed by the learned arbitrator relying upon the oral evidence of Mr.Sanath Kumar who was not made available for cross-examination.

260. A perusal of the award indicates that the claim for compensation made by the respondent was not supported by any contemporaneous documents as contemplated under Clause 53.4 read with Clauses 53.3 and 53.2 of Section 2 of the Conditions of Contract, Part-I of the General Conditions of Contract. The respondent had made a claim for compensation in the sum of Rs.52,73,92,129.01 in the statement of claim under various heads.

261. A perusal of the award clearly indicates that though the learned arbitrator in various paragraphs of the award which are on pages 192 to 198 of the arbitration petition had recorded

submissions of 120 arbp-868.16(j).doc both the parties, the learned arbitrator has, however, not dealt with those submissions and more particularly the submissions made by the petitioner in the impugned award.

262. There is no dispute that the petitioner has disputed the existence and contents of the certificate alleged to have been issued by the Chartered Accountant and by the Surveyor appointed by the respondent.

263. In so far as the claim for loss of opportunity is concerned, the learned arbitrator has allowed the said claim for loss of opportunity @ 10% of the average turnover of the respondent which turnover was referred in the alleged certificate issued by the Chartered Accountant which was disputed by the petitioner. Admittedly, the respondent did not examine the said Chartered Accountant to prove the existence and contents of the said certificate. In my view, merely on the basis of the said alleged certificate and without any proof of quantification of the said claim by the respondent, the learned arbitrator could not have allowed the said claim merely on the basis of the said alleged certificate.

264. In my view, the learned arbitrator has allowed the claim based on a disputed document which was not proved and the impugned award is thus in violation of the principles of natural justice. Though the arbitral tribunal is not bound by the provisions of the Evidence Act in view of Section 19 of the Arbitration and Conciliation Act, 1996, the principles of Evidence Act applies to the arbitration proceedings. The arbitral tribunal cannot rely upon an unproved document as a piece of 121 arbp-868.16(j).doc evidence. This part of the award thus deserves to be set aside on this ground also.

265. The respondent had relied upon the alleged letter dated 3 rd December 2004 addressed by M/s.Universal Surveyors and Adjustors Pvt. Ltd. inter alia showing the depreciation written down value and the alleged deployment of machinery by the respondent. The respondent had also relied upon the purported break up of manpower cost upto 16 th January 2003 issued by Mr.J.C. Bhatt, Chartered Accountant vide his letter dated 12th April 2005. Though the learned arbitrator recorded in the impugned award that these documents were disputed by the petitioner, the learned arbitrator still heavily placed reliance on those disputed documents while allowing the huge claim made by the respondent. In my view, none of the documents while allowing the aggregate claim of Rs.52,73,92,129.01 made by the respondent was supported by any evidence or proof. In my view, the claim made by the respondent was also in violation of and without complying with the mandatory provisions of Clauses 53.2 and 53.3 of Section 2 of the Conditions or Contract, Part-II of the General Conditions of Contract.

266. In so far as the claim "on account of Reimbursement of Equipment Cost- Rs.25,06,56,010/-" awarded by the learned arbitrator is concerned, a perusal of the record indicates that neither any evidence was produced by the respondent in support of this claim nor any finding is recorded by the learned arbitrator while allowing the said claim in the aggregate amount of compensation of Rs.52,73,92,129/-. The respondent had only placed reliance on the alleged break up of the claim contained 122 arbp-868.16(j).doc in their letter dated 4th January 2005 and on the written

submissions containing calculations for monthly hire charges which were not based on the actual amount alleged to have been spent by the respondent but based on assumptions and without any supporting proof.

267. The respondent had failed to produce any alleged contemporaneous record before the learned arbitrator in support of the huge claim for compensation. It is not in dispute that the said Surveyor namely M/s.Universal Surveyors and Adjustors Pvt. Ltd. whose alleged certificate was relied upon by the learned arbitrator was not examined as a witness to prove the existence and contents of the said alleged certificate though the existence and contents thereof were disputed by the petitioner. The respondent did not produce any proof of actual deployment of the machinery and equipment and date of purchase before the learned arbitrator. It is not in dispute that in the impugned award and more particularly on page 195 of the arbitration petition, the objection of the petitioner regarding the evidentiary value of the said certificate was disputed by the petitioner.

268. In so far as the claim made by the respondent "on account of Reimbursement of Manpower Cost-Rs.1,52,68,804/-" is concerned, the respondent did not lead any documentary or oral evidence or examine any concerned person with regard to actual deployment of manpower during the extended period of contract before the learned arbitrator nor produce any contemporaneous record before the learned arbitrator in support of this claim. The impugned award allowing this claim is also based on no evidence and is ex facie perverse.

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269. In so far as the claim "on account of Reimbursement of Overhead Cost-Rs.11,53,63,161/-" is concerned, no finding is arrived at by the learned arbitrator as to whether this claim was proved by the respondent or not. A perusal of the record indicates that there is no discussion on this claim made by the learned arbitrator in the impugned award at all and the conclusion drawn by the learned arbitrator in respect of this claim is without any basis and discloses patent illegality on the face of the award.

270. In so far as the claim "on account of Compensation for hike in steel price hike-Rs.4,89,19,973/-" is concerned, a perusal of the record indicates that in respect of this claim also, the learned arbitrator has not recorded any finding or has not discussed this claim on merits at all. Learned arbitrator has also not disclosed as to how and why this claim came to be allowed by the learned arbitrator. It is not in dispute that the respondent was already paid the escalation cost aggregating to Rs.9,78,30,634/- by the petitioner for the work done by the respondent upto 30th October 2004. In my view, this claim allowed by the learned arbitrator is not only based on no evidence but also overlooking the amount of escalation already paid by the petitioner. The said amount of Rs.9,78,30,634/- which was admittedly paid to the respondent was inclusive of escalation in respect of the items comprising of steel.

271. In so far as the claim "on account of Compensation for Financial Cost-Rs.1,16,07,691/-" is concerned, a perusal of the record indicates that the learned arbitrator has not discussed this claim and has 124 arbp-868.16(j).doc not disclosed the reasons as to how and why this claim came to be

allowed by the learned arbitrator. No finding recorded by the learned arbitrator in respect of this claim which was part of the huge claim of Rs.52,73,92,129/-.

272. A perusal of the record indicates that the impugned award allowing the claim for compensation is passed mechanically and without application of mind. The learned arbitrator was bound to disclose the reasons as to how and why and on the basis of what evidence the learned arbitrator had allowed the claim for compensation. The award discloses no reasons in respect of some of the claims referred to aforesaid in addition to the award being based on no evidence.

273. In so far as the claim "on account of Compensation for Loss of Opportunity-Rs.8,34,68,833/-" is concerned, a perusal of the record and also the impugned award indicates that the learned arbitrator has allowed this claim without any evidence on record and in violation of Clauses 53.2, 53.3 and 53.4 of Section 2 of the Conditions of Contract. The respondent did not produce any contemporaneous record or any other evidence in support of this claim before the learned arbitrator. The award is based on the alleged certificate issued by the Chartered Accountant which was not proved.

274. In so far as the claim "on account of Reimbursement of Price Adjustment-Rs.21,07,655/-" is concerned, a perusal of the record indicates that this claim was also based on no evidence. This part of the claim in respect of the increment in labour charges was contrary to 125 arbp-868.16(j).doc clause 70.1 of the Conditions of Particular Application. The learned arbitrator has decided contrary to the terms of the contract and this part of the award thus deserves to be set aside.

275. Supreme Court in the case of Associate Builders Vs. Delhi Development Authority (supra) has held that if the award shows patent illegality and perversity, such arbitral award can be set aside by the Court under Section 34 of the Arbitration and Conciliation Act, 1996.

Division Bench of this Court in an unreported judgment in the case of M/s.J.N. Construction Vs.M/s.Shah Jagshi Jethabhai (supra) has held that the award of compensation rendered by the learned arbitrator without entering to the finding to the effect that the present Hudson's formula was an appropriate formula to be adopted came to be set aside. It is held that if the learned arbitrator had proceeded to divide the period of delay and to apportion it equally between the parties thereto without any evidence being adduced, the award deserves to be set aside on the ground that the award was founded on no evidence at all. In my view, the judgment of the Supreme Court in the case of Associate Builders Vs. Delhi Development Authority (supra) and an unreported judgment in the case of M/s.J.N. Construction Vs.M/s.Shah Jagshi Jethabhai (supra) squarely apply to the facts of this case.

276. A perusal of the award indicates that though the learned arbitrator has summarized the part of the submissions made by both the parties in the impugned award, the learned arbitrator has not dealt with those submissions and has straight away made a conclusion by allowing the claim made by the respondent. In my view, the judgment of the 126 arbp-868.16(j).doc Delhi High Court in the case of Avi Coach Builders Vs. Union of India (supra) would apply to the facts of this case. I am in respectful agreement with the views expressed by the Delhi High Court in the case of Avi Coach

Builders Vs. Union of India (supra). The judgment of the Delhi High Court in the case of Delhi Development Authority Vs.Sunderlal Kothari and Sons (supra) also applies to the facts of this case. I am in respectful agreement with the views expressed by the Delhi High Court in the case of Delhi Development Authority Vs.Sunderlal Kothari and Sons (supra).

277. In so far as the judgment of the Supreme Court in the case of Ravindra Kumar Gupta and Company Vs. Union of India (supra) is concerned, Supreme Court has held that the Court cannot re-appreciate the evidence led by the parties before the learned arbitrator when the same had been duly scrutinized and evaluated by the learned arbitrator is concerned. There is no dispute about this proposition of law laid down by the Supreme Court. In my view, this Court has not made any attempt to re-appreciate the evidence led by the parties but has set aside this arbitral award which is based on no evidence. The judgment of the Supreme Court in the case of Ravindra Kumar Gupta and Company Vs. Union of India (supra) thus would not assist the case of the respondent. I am not inclined to accept the submission of the learned senior counsel for the respondent that there is no perversity in the impugned award.

278. Supreme Court in the case of ONGC Vs. Western GECO International Ltd. (supra) had taken a similar view and had applied 127 arbp-868.16(j).doc Wednesbury principles while considering the validity of the arbitral award under Section 34 of the Arbitration and Conciliation Act, 1996.

279. Mr.Khambatta, learned senior counsel for the respondent tries to distinguish the judgment of the Supreme Court in the case of ONGC Vs. Western GECO International Ltd. (supra) on the ground that in view of the amended Section 34 of the Arbitration and Conciliation Act, 1996, the principles laid down by the Supreme Court in the case of ONGC Vs. Western GECO International Ltd. (supra) thereby extending the principles of Wednesbury principles ig under Section 34 of the Arbitration and Conciliation Act, 1996 would not apply. It is submitted by the learned senior counsel that the amended permissible grounds under Section 34 of the Arbitration and Conciliation Act, 1996 only can be applied to the present proceedings and not the Wednesbury principles.

280. In so far as the submission of the learned senior counsel that the respondent had already submitted Daily Shift Reports/Daily Survey Reports/Daily Progress Reports before the learned arbitrator and those documents were not sought to be proved through Mr.Sanath Kumar who was examined as one of the witnesses by the respondent is concerned, in my view, there is no merit in this submission of the learned senior counsel. The learned senior counsel is not right in his submission that the petitioner had not disputed these reports in toto.

281. In so far as the submission of the learned senior counsel for the respondent that the Weekly reports for the period from 14th November 2000 to 20th December 2004 produced before the learned arbitrator by the respondent were maintained in ordinary course of business is concerned, 128 arbp-868.16(j).doc in my view, there is no substance in this submission of the learned senior counsel. Those reports could not be considered as contemporaneous record required to be maintained by the respondent under clause 53.4 read with clause 53.2 of the General Conditions of Contract. The authenticity and contents of those reports were not proved.

282. In so far as the submission of the learned senior counsel for the respondent that since the entire claim for compensation awarded by the learned arbitrator is not based on evidence of Mr.Sanath Kumar alone and it is not possible to discern any part of the award allowing the claim based on such evidence of Mr.Sanath Kumar, no part of the award shall be set aside is concerned, in my view, there is no merit in this submission of the learned senior counsel. Since the learned arbitrator has considered the evidence of Mr.Sanath Kumar who was not made available for cross-examination and since it is not possible to discern the good portion of the award with the bad portion of the award, in my view, the entire award deserves to be set aside.

283. In so far as the submission of the learned senior counsel for the respondent that the learned arbitrator had considered the letter dated 4th January 2005 while allowing the claim for equipment cost by which the respondent alleged to have submitted detailed break up of the said claim is concerned, a perusal of the record indicates that the learned arbitrator has allowed the said claim on the basis of the alleged assessment report of the Surveyor which was a disputed document and not proved. Mere reference to the alleged break up of the amount in a document could not have been considered the alleged details mentioned 129 arbp-868.16(j).doc as proved by the learned arbitrator which were disputed by the petitioner and were not proved. In my view, there is no merit in the submission of the learned senior counsel that the claim for actual manpower cost was supported by salary and wage register. The entire award is based on disputed documents, certificates/letters alleged to have been issued by the Chartered Accountant and by the Surveyor which were not proved. The particulars of claim in the statement of claim could not have been considered as evidence by the learned arbitrator which were disputed by the petitioner.

284. In so far as the judgments of the Supreme Court in the cases of Municipal Corporation of Delhi Vs. Jagan Nath Ashok Kumar (supra), Sudarsan Trading Co. Vs. Government of Kerala (supra) and the judgment of the Delhi High Court in the case of Delhi Development Authority Vs. Harbans Singh & Sons (supra) relied upon by the learned senior counsel for the respondent in support of the submission that the learned arbitrator was the sole Judge of the quality and quantity of the evidence and was not required to give details of his computation is concerned, there is not dispute about the proposition that the learned arbitrator is the sole Judge of the quality and quantity of the evidence. The learned arbitrator, however, is bound to decide in accordance with the contract entered into between the parties and also in accordance with the provisions of the Arbitration and Conciliation Act, 1996 and principles of Evidence Act which are applicable to the arbitration proceedings. Since the award is based on no evidence, the Court herein under Section 34 of the Arbitration and Conciliation Act, 1996 has ample power to set aside such award.

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285. In so far as the judgment of this Court in the case of Union of Indian Vs. Sagar Construction Company(supra) is concerned, it is held that the Court must see an award in totality and some lacuna or lack of details is not reason enough to treat an award as unreasoned or interfere with it. In my view, since the award rendered by the learned arbitrator is based on no evidence and does not disclose the basis reasons, the principles laid down in the case of Union of Indian Vs. Sagar Construction Company(supra) would not apply to the facts of this case and is clearly

distinguishable.

286. In so far as the submission of the learned senior counsel for the respondent that the finding of the learned arbitrator accepting the Surveyor's report has to be read with the general finding rendered by the learned arbitrator in respect of the claim is concerned, in my view, there is no merit in this submission of the learned senior counsel for the respondent. The entire award allowing the huge claim is based on such alleged certificates issued by the Chartered Accountant and by the Surveyor. Quantification of the claim based on unproved and disputed documents thus deserves to be set aside. Quantification of the claim by the learned arbitrator is not based on any proved documents as sought to be canvassed by the learned senior counsel for the respondent.

287. Supreme Court in case of Kailash Nath Associates Vs. Delhi Development Authority & Anr., reported in (2015) 4 SCC 136 has laid down the principles to be followed by the court or by the arbitrator while considering the claim for compensation under sections 73 and 74 of the Contract Act, 1872. It is held that where it is possible to prove actual 131 arbp-868.16(j).doc damage or loss, such proof is not dispensed with. It is held that compensation can only be given for damage or loss suffered. If damage or loss is not suffered, the law does not provide for a windfall.

288. This court in case of Ajay Singh (Sunny Deol) Vs.Suneel Darshan in Arbitration Petition No.819 of 2011 and other connected matters after adverting to the judgment of Supreme Court in case of Kailash Nath Associates (supra), judgment of this court in case of Maharashtra State Electricity Board vs. Sterlite Industries (India) Ltd., reported in 2000(3) Bom.C.R. 347 and an unreported judgment of the Division Bench of this Court delivered on 3rd January 2013 in Appeal No.11 of 2012 in the case of Edifice Developers and Project Engineers Ltd. Vs. M/s.Essar Projects(India) Ltd. has held that if a party has not suffered any losses, even if the respondent has committed breaches, such party cannot be awarded any compensation under section 73 of the Contract Act. When loss in terms of money is prayed, the party claiming compensation has to prove such loss or damages suffered by him. It is held that unless and until the damages or loss was actually suffered, damages cannot be awarded, otherwise section 73 of the Contract Act would become nugatory and the party would be penalized though the other party suffered no loss. In my view the party who has not suffered any loss or damages cannot be awarded any compensation or damages, otherwise it would amount to unjust enrichment in favour of such party.

289. In so far as the submission of the learned senior counsel for the respondent that in this case, grounds available under the amended Section 34 of the Arbitration and Conciliation Act, 1996 only would be 132 arbp-868.16(j).doc attracted is concerned, a perusal of the arbitration agreement recorded in clauses 67.1 to 67.4 of the General Conditions of Contract does not indicate that the parties have agreed that the parties would be governed by the provisions of any statutory amendment to the provisions of the Arbitration and Conciliation Act, 1996. Admittedly in this case, the notice invoking arbitration agreement was issued much prior to 23 rd October 2015. In my view, the provisions of the amended Section 34 brought into effect with effect from 23rd October 2015 thus would not be applicable to the facts of this case. The judgment of this Court in the case of M/s.Rendezvous Sports World Vs. The Board of Control for Cricket in India (supra) thus would not assist the case of the respondent. Be that as it may, in my view, even if the amended provision of

Section 34 of the Arbitration Act is applied, the petitioner has made out a case for setting aside the award even under those provisions.

290. During the course of the arguments, learned senior counsel for the respondent invited my attention to various documents forming part of the record before the learned arbitrator including the alleged details and break up of the claim for compensation in support of the submission that the learned arbitrator must have considered those documents and break up of the claim while allowing the claim for compensation.

291. Per contra, it was submitted by the learned senior counsel for the petitioner that though there were various correspondence and written submissions on record filed by both the parties before the learned arbitrator, the learned arbitrator has not dealt with the entire record 133 arbp-868.16(j).doc made available by both the parties in the impugned award while allowing the claim for compensation and more particularly sought to be relied upon by the respondent before this Court to supplant the reasons given by the learned arbitrator in the impugned award.

292. This Court in the case of Bombay Intelligence Security (India) Ltd. Vs. Oil & Natural Gas Corporation Limited (supra) has held that this Court cannot probe into the mind of the arbitral tribunal and come to the conclusion that by considering the evidence produced by the parties which were though on record before the arbitral tribunal but were not referred and considered by the arbitral tribunal by drawing an inference that such evidence must have been considered by the arbitral tribunal while allowing or rejecting the claim while deciding the petition under Section 34 of the Arbitration and Conciliation Act, 1996. In my view, the said judgment of this Court would squarely apply to the facts of this case. I am respectfully bound by the said judgment.

293. In my view, the judgments of the Supreme Court in the cases of Mohinder Singh Gill and Anr. Vs. Chief Election Commissioner New Delhi and Ors.(supra) and Maharashtra State Board of Secondary and Higher Secondary Education Vs. K.S. Gandhi (supra) would assist the case of the petitioner in support of the submission that requirement of giving of a reason in the arbitral award forms part of mandatory duty under Section 31(3) of the Arbitration and Conciliation Act, 1996.

294. I am thus not inclined to take into consideration the correspondence and other documents though were filed by the parties 134 arbp-868.16(j).doc before the learned arbitrator and were not marked as exhibits or in any case were not considered by the learned arbitrator in the impugned award while allowing the claim for compensation and to draw any inference that those documents must have been considered by the learned arbitrator while allowing the claim for compensation. In my view, the award itself shall indicate the evidence referred to, relied upon and considered by the learned arbitrator while allowing or rejecting the claim made by the parties. I am thus not inclined to consider those documents for the first time in these proceedings and to supplant the reasons in the impugned award which were not recorded by the learned arbitrator based on these documents which were not considered or relied upon or referred by the learned arbitrator in the impugned award.

295. The submission made by the learned senior counsel for the petitioner that the learned arbitrator has recorded various findings of facts on the issue of alleged delay on the part of the petitioner without considering the documents on record is concerned, a perusal of the award indicates that the learned arbitrator has rendered findings of facts on the issue of delay which findings of facts being not perverse cannot be interferred with by this Court in so far as these findings of delay are rendered attributable on the part of the petitioner. I am also not inclined to interfere with the impugned award in so far as rejection of counter claim made by the petitioner in the impugned award is concerned. Learned senior counsel for the petitioner could not demonstrate before this Court as to how the impugned award in so far as the counter claim made by the petitioner is concerned is perverse and shows patent illegality. The petitioner also did not produce any evidence in support of their counter claim. The impugned award thus rejecting the counter 135 arbp-868.16(j).doc claim made by the petitioner is upheld and does not warrant any interference.

296. In so far as the claim for interest awarded by the learned arbitrator on the claims allowed in favour of the respondent is concerned, in my view, since the award made by the learned arbitrator in respect of the principal amount itself is patently illegal and shows perversity, the claim for interest awarded by the learned arbitrator on the principal amount also deserves to be set aside and it is ordered accordingly.

297. In my view, since the entire award is set aside in so far as the claim for principal amount and interest is concerned, the impugned award in so far as the payment of arbitration costs as directed in paragraph 121 of the impugned award also deserves to be set aside.

298. I therefore pass the following order :-

(i) The impugned award dated 26th November 2011 passed by the learned arbitrator allowing the claims made by the respondent is set aside.

(ii) The impugned award rejecting the counter claim made by the pe-

titioner is upheld.

(iii) Arbitration Petition No.868 of 2012 is disposed of in aforesaid terms.

(iv) There shall be no order as to costs.

R.D. DHANUKA, J.